

INSURANCE & PENSIONS COMMISSION



SHORT-TERM (NON-LIFE) INSURANCE REPORT

FOR THE YEAR-ENDED
31 DECEMBER 2020

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List of Acronyms and Abbreviations

DAC	-	Deferred Acquisition Cost
GPW	-	Gross Premium Written
IBNR	-	Incurred But Not Reported
IPEC/Commission	-	Insurance and Pensions Commission
NEP	-	Net Earned Premium
NPW	-	Net Premium Written
O/S Claims	-	Outstanding Claims
ROA	-	Return on Assets
ROE	-	Return on Equity
UCR	-	Unearned Commission Reserve
UPR	-	Unearned Premium Reserve



Executive Summary

The report provides an analysis of the performance of the short-term insurance industry, key economic indicators, investment markets and highlights of the Commission's regulatory activities for the year ended 31 December 2020.

Total Gross Premium Written (GPW) by short-term insurers amounted to ZW\$9.11 billion for the year ended 31 December 2020, reflecting a 562.40% increase from ZW\$1.37 billion reported for the comparative period in 2019. The total business written by short-term reinsurers increased from ZW\$664.90 million for the year ended 31 December 2019 to ZW\$5.30 billion for the period under review.

Total assets for short-term insurers increased from ZW\$6.76 billion reported as at 30 September 2020 to ZW\$8.87 billion as at 31 December 2020. All eighteen (18) insurers reported capital positions which were above the Minimum Capital Requirement (MCR) of ZW\$37.5 million as at 31 December 2020. Investments in Prescribed Assets increased by 9.50% from ZW\$287.76 million as at 30 September 2020 to ZW\$315.10 million as at 31 December 2020. In the period under review, only one short term insurer and two reinsurers were compliant with the Minimum Prescribed Asset ratio of 10%. All non-compliant players were engaged and advised to submit Compliance Roadmaps to avoid stringent penalties.

Short-term reinsurers had an asset base of ZW\$6.40 billion as at 31 December 2020, reflecting a 5.61% increase from the ZW\$6.06 billion reported as at 30 September 2020. As at 31 December 2020, all the registered short-term reinsurers reported capital positions that were above the minimum capital requirement of ZW\$75 million.

During the period under review, most of the insurance and reinsurance brokers had regulatory capital which was in excess of the required minimum threshold of ZW\$1,500,000.

In this fourth quarter 2020 report, three (3) insurance broking entities, which are Auto and General, Ambassador and Revival Brokers failed to submit their fourth quarter figures to the Commission.

1.ECONOMIC DEVELOPMENTS

1.1. 2020 Global and Regional Economic Outturn

Revised International Monetary Fund (IMF) estimate a global economic output decline of 3.5% in 2020, buttressed by stronger than expected recovery across all regions in the second half of the year. The World Bank (WB) projects a deeper contraction of 4.3% due to the effects of the pandemic. For advanced economies, the revised GDP estimate was -4.9%, an improvement from the October forecast of -5.8%. GDP growth for emerging markets and developing countries (EMDEs) is expected to contract by 2.4%.

GDP growth forecast for Sub-Saharan Africa was revised upwards to 2% from an expected contraction of 3% in October 2020. However, the WB estimate the region to contract by 3.7% in 2020.

1.2. Global and Regional Economic Outlook

In light of Covid-19 developments, global economy is expected to grow by 5.5% in 2021(IMF), up from a 5.2% forecast in October 2020, amid renewed hope for recovery following approvals of the Covid-19 vaccines. The World Bank projects a lower growth of 4%. While strong fiscal, monetary and other policies towards households and firms in some countries are expected to boost recovery, the resurgence of the Corona virus and control measures being enforced in several economies are likely to offset some of the gains.

Sub-Saharan Africa GDP growth projection for 2021 is set at 3.2% as per the IMF forecast, while the World Bank set a conservative growth of 2.7%. SSA growth is expected to be undermined by

risks such as weaker recovery than expected in trading partners, logistical hurdles that could affect vaccine distribution and slow-down productivity.

Table 1: World Economic Outlook Revised Projections (Percentage Change)

	2020	2021	2022
World Output	-3.5	5.5	4.2
Advanced Economies	-4.9	4.3	3.1
USA	-3.4	5.1	2.5
Euro Area	-7.2	4.2	3.6
Emerging Markets and Developing countries	-2.4	6.3	5
China	2.3	8.1	5.6
Sub-Saharan Africa	2	3.2	3.9
Nigeria	-3.2	1.5	2.5
South Africa	-7.5	2.8	1.4

Source: IMF Economic Outlook, Projections

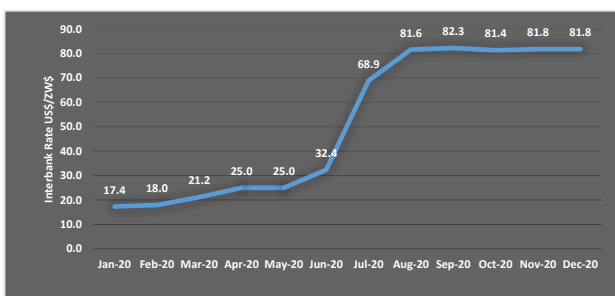
1.3. Domestic Macroeconomic Outturn

The country experienced another recession in 2020, with GDP expected to contract by 4.1% from -6.1% in 2019. Significant output declines were in agriculture, mining, manufacturing, tourism and electricity generation, owing to the effects of the 2019 drought, cyclone and Covid-19 pandemic.

1.4. Exchange Rate Developments

The exchange rate depreciated from US\$1:ZW\$17.10 in January 2020 to U\$1:ZW\$81.80 in December 2020. It was largely stable in the quarter under review owing to the foreign exchange auction system, as it depreciated slightly to US\$1:ZW\$81.8 from US\$1:ZW\$81.4 at the end of October 2020. While the availability of foreign exchange has been improving, with a total of US\$29.58 million allotted on the 21st December 2020 compared to US\$27.85 million on the 27th October 2020 (RBZ), not all interested bidders were able to access the needed funds as some failed to satisfy the auction system requirements. Bidders were disqualified for ineligibility in terms of the priority list, insufficient foreign currency account balances, overdue CD1 and outstanding bills of entry.

Figure 1: Interbank Exchange Rate January to December 2020 (US\$/Z\$) - End of Period



Source: Reserve Bank of Zimbabwe

1.5. Inflation Developments

Inflation continued on a downward trend in the second half of 2020 due to fiscal consolidation, coupled with monetary stabilisation measures which have brought about some stability in the pricing of goods and services. The annual inflation rate declined from a peak of 837.53% in July to 348.6% in December 2020, driven by non-food items. Month-on-month inflation rate declined from 35.5% in July to 3.2% in November before a slight increase to close the quarter at 4.2% as shown in Figure 2.

Figure 2: Month on Month Inflation 2019-20 and Year on Year Inflation 2020 (percent)



Source: ZIMSTATS

Annual blended CPI inflation has been on a declining trend from 249.63% in October 2020 to 186.91% in December 2020. Monthly blended CPI inflation rate, however, has been on an upward trend, from 1.43% in October, to 2.25% and 2.75% in November and December, respectively.

The reduction in inflation rate is a welcome development for the industry, particularly for fixed income earners such as pensioners and policyholders, as it allows for some preservation of value of their pay-outs or claims. However, given that inflation figures are still in the positive territory, prices are still increasing though at a decreasing rate.

1.6. Macroeconomic Outlook

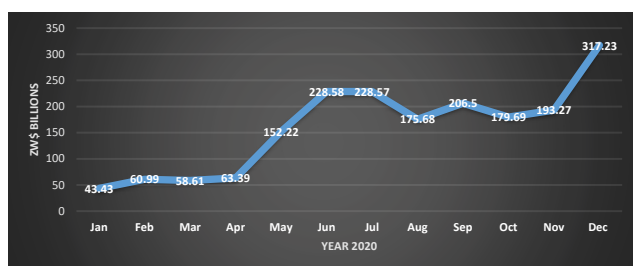
The National Development Strategy 1 Macroeconomic Framework projects the economy to rebound by 7.4% in 2021. The growth forecast is expected on the back of recovery in the global economy from Covid-19, stable macroeconomic environment, a predictable policy environment and investor confidence. While the good rainy season provides positive recovery prospects, the uncertainties around Covid-19 may undermine the projection. Strong policy support as well as concerted efforts by all stakeholders towards the economic recovery process is of paramount importance. Public-private partnerships should be encouraged.

The economy is expected to continue experiencing a gradual decline in inflation in 2021 from 362.6% annual inflation in December 2020 to single digit levels (below 10%) by December 2021, supported by a targeted month-on-month inflation of less than 3%.

1.7. Investment Performance

Zimbabwe Stock Exchange Developments

The All Share and Top Ten indices grew by 1,046% and 733% respectively during the year ended 31 December 2020. Equity turnover grew by 754% from 2019 and market capitalisation surged by 968%. The trajectory of market capitalisation during the year is as shown in Figure 3.



Source: Zimbabwe Stock Exchange

Victoria Falls Stock Exchange (VFEX)

SeedCo International remains the only trading counter on VFEX. As at 30 November 2020, market capitalisation was US\$43.40 million. The continued delay in lifting suspension of trades on Old Mutual and PPC shares is a major concern for the industry, as asset values of pension fund members and policyholders currently tied in the two counters cannot objectively be valued or liquidated.

Savings and Deposit Interest Rates

Real interest rates remained negative in 2020, given the high rates of annual inflation which ended the year at 348.6% against nominal interest below 20%. Nominal savings deposit rates remained unchanged for the second half of 2020, ranging between 2.35% and 5.19%.

Some minor improvements were recorded in One-month and Three-month deposit rates. One-month nominal deposit rates improved from a maximum of 8.28% end of October 2020 to 8.57% at mid-November 2020, while three-month deposit rates also marginally improved from a maximum of 8.69% to 8.71% during the same period.

1.8 Covid-19 Update

The total number of confirmed Covid-19 cases recorded globally since the onset of the pandemic exceeded 79.2 million, with over 1.7 million deaths as at 27 December 2020. There is increased uncertainty and concern over the mutation of Sars-Cov-2 virus following 2 variants detected in South Africa and Britain in December 2020. It remains uncertain whether the variants will

undermine the effectiveness of the approved vaccines.

Mandatory lockdowns due to Covid-19 disrupted business operations and income streams during the year. Effects of the pandemic have exacerbated the problem of policy lapses, and delayed payment of pensions contributions, premiums and benefits/claims. The new normal also brought about additional operating costs for insurers and pension funds, as they sought to capacitate staff to work remotely.

2. Introduction

The Insurance and Pensions Commission (IPEC) is a statutory body mandated with regulating, supervising and developing the insurance and pensions industry for the protection of policyholders and pension scheme members in Zimbabwe. This report outlines IPEC's various activities consistent with its statutory mandate for the twelve months ended 31 December 2020 as well as the state of the short-term insurance industry for the same period.

2.1. Terms of Reference

The activities of the Commission are guided by the following acts and their regulations:

- Insurance and Pensions Commission Act [Chapter 24:21]
- Pension and Provident Funds Act [Chapter 24:09]
- Insurance Act [Chapter 24:07]
- Money Laundering and Proceeds of Crime Act [Chapter 09:24]
- Finance Act [Chapter 23:04]
- Public Entities and Corporate

Governance Act [Chapter 10:31]

- Public Finance Management Act [Chapter 22:19]
- Public Procurement and Disposal of Public Assets Act [Chapter 22:23]

3. Architecture of the Short-Term Insurance Industry

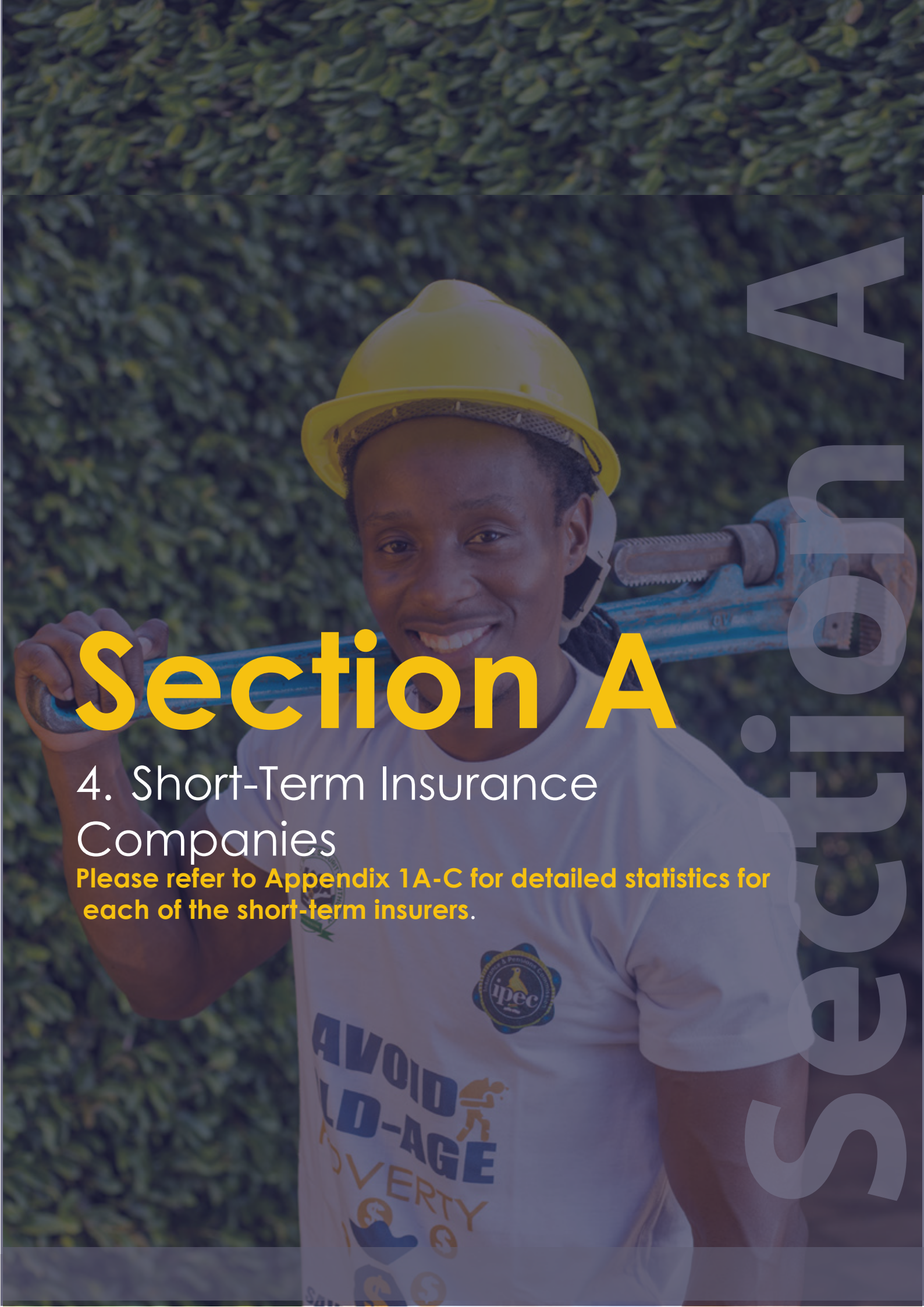
There were seven hundred and thirty-five (735) registered entities/persons in the short-term insurance industry as at 31 December 2020. The architecture of the industry is as shown in Table 2 below:

Table 2 : Architecture of the Short-Term Insurance Industry

Type of Institution	Number of Registered Entities/Persons as at....		
	31-Dec-18	30-Dec-19	31-Dec-20
Insurance Companies*	20	18	18
Microinsurers	2	1	2
Reinsurance Companies**	8	8	8
Underwriting Management Agencies	2	2	2
Insurance Brokers	32	31	32
Reinsurance Brokers	7	7	7
Loss Assessors	35	36	36
Corporate Agents	122	133	147
Sole Agents	447	460	483
Total	675	696	735

** Two insurers namely FBC Insurance Company and Alliance Insurance Company are composite insurers, however the figures in this report pertain to their short-term business only.*

***Five reinsurers namely Emeritus Reinsurance Company, FBC Reinsurance Company, First Mutual Reinsurance Company, Grand Reinsurance Company and PTA Reinsurance Company (Zep Re) are composite reinsurers who also write life business. However, the figures in this report pertain to their short-term business only.*



Section A

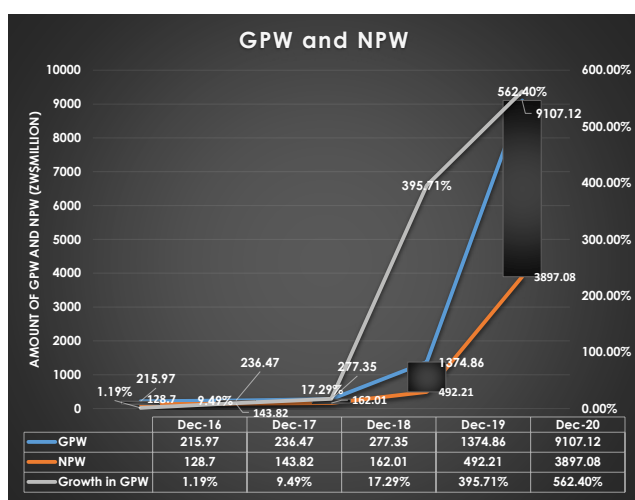
4. Short-Term Insurance Companies

Please refer to Appendix 1A-C for detailed statistics for each of the short-term insurers.

4.1. Performance in Terms of Business Written

Gross Premium Written (GPW) by short-term insurers amounted to ZW\$9.11 billion, reflecting a 562.40% nominal increase from ZW\$1.37 billion reported for the comparative period in 2019. Figure 4 below shows the trend in volume of the business generated by short-term insurers from 2016 to 2020.

Figure 4: Trend in Short-Term Insurance Written Business



The sizeable jump in the nominal volume of business written by the short-term insurance companies between 2018 and 2020, as seen in Figure 4 above was on account of inflation tendencies in reaction to currency reforms.

Table 3 below shows the percentage growth in GPW for different classes of business:

Table 3 : Short-Term Insurers' GPW by Class of Business

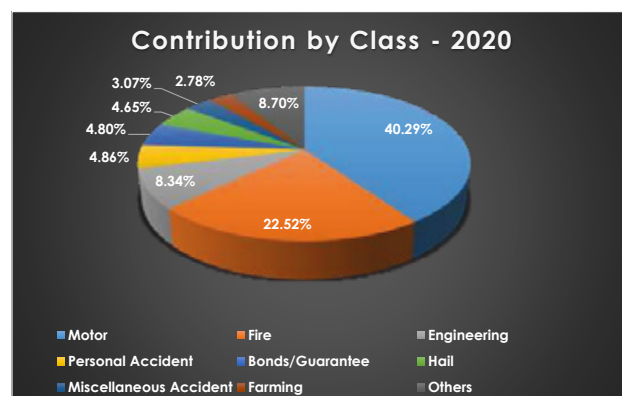
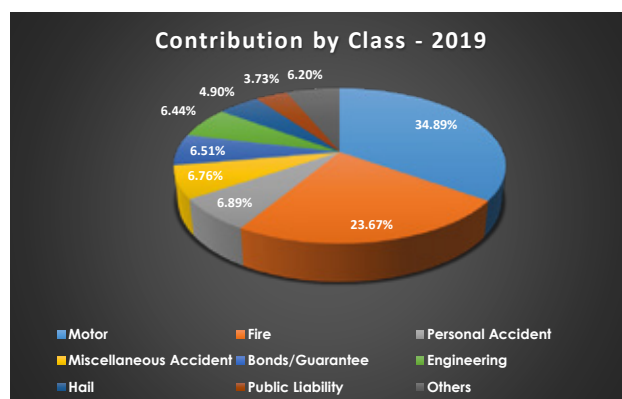
Class of Business	Gross Premium Written (ZWS Million)			Nominal % change	Inflation adjusted % change
	Dec-19	Dec-20	Dec-20		
		Inflation Adjusted	Nominal		
Aviation	8.54	25.94	116.39	1262.65%	203.76%
Bonds/Guarantee	89.57	97.43	437.08	388.00%	8.78%
Engineering	88.56	169.22	759.13	757.24%	91.09%
Farming	27.08	56.41	253.07	834.38%	108.29%
Fire	325.49	457.1	2,050.57	529.99%	40.43%
Hail	67.39	94.5	423.93	529.08%	40.23%
Marine	38.32	41.12	184.46	381.36%	7.30%
Miscellaneous Accident	92.95	62.38	279.82	201.03%	-32.90%
Motor	479.73	817.83	3,668.81	664.77%	70.48%
Personal Accident	94.73	98.6	442.34	366.95%	4.09%
Public Liability	51.23	31.79	142.62	178.40%	-37.94%
Others	11.27	77.78	348.91	2995.45%	590.02%
Total	1,374.86	2,030.12	9,107.12	562.40%	47.66%

**Others comprise of directors' liability, health, hire purchase.*

As seen in Table 3 above, the real increase in Gross Premium Written for the year ended 31 December 2020 was 47.66%, which shows that there was real growth in short-term insurance business. Only two classes of short-term insurance business namely miscellaneous accident and public liability experienced a decrease in the gross premium written.

The contribution of Gross Premium Written by class of business for short-term insurance is illustrated in Figure 5 below.

Figure 5: Contribution of Short-Term Insurance GPW by Class of Business



**Others comprise of Aviation, Marine, Public liability, Directors' liability, Hail, Health, Hire Purchase*

Motor and fire insurance classes accounted for a total of 62.81% of total GPW during the year ended 31

December 2020, making them the major contributors to the total GPW by short-term insurers.

4.2. Foreign Currency Denominated Business

Gross premium written in foreign currency for the year ended 31 December 2020 was US\$67.71 million, which is 60.81% of total GPW, as shown in Table 4 below.

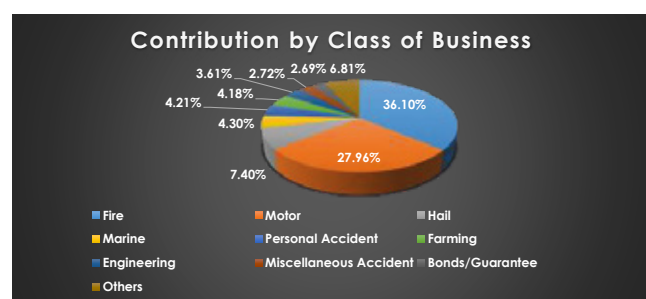
Table 4: Short-Term Insurers' USD GPW By Class of Business

Class of Business	GPW - (US\$'000)
Engineering	2, 973.87
Farming	2, 728.07
Fire	24, 402.90
Hail	4, 832.08
Marine	2, 844.09
Motor	18, 779.94
Personal Accident	2, 969.27
Miscellaneous Accident	1, 805.17
Bonds/Guarantee	1, 900.91
Others	4, 475.13
Total	67, 711.43

**Others include Aviation, Public liability and Health.*

The contribution of foreign currency denominated business by class of business is shown in Figure 6 below:

Figure 6 Contribution of Short-Term Insurance USD GPW by Class of Business



Consistent with trends in Zimbabwe dollar denominated business, fire and motor insurance business classes were the major contributors of foreign currency denominated business for short-term insurance, accounting for a combined 64.06% of GPW for the year ended 31 December 2020.

4.3. Capitalisation

All eighteen (18) insurers reported capital positions that were above the minimum

capital requirement of ZW\$37.5 million as at 31 December 2020. The reported capital positions were computed without accounting for non-admissible assets as stipulated in Statutory Instrument 95 of 2017. The reported capital positions are shown in Table 5 below.

Table 5: Reported Capital Positions for Short-Term Insurers

Name of Insurance Company	Reported Capital Position (ZWS Million)	
	31-Dec-19	31-Dec-20
Alliance	90.73	104.23
Allied	46.70	213.44
CBZ	35.03	137.58
Cell	55.75	251.06
Champions	17.24	59.07
Clarion	15.75	50.90
Credsure	31.92	129.08
ECGC	16.61	68.16
Econet	47.67	257.67
Evolution	85.47	128.03
FBC	45.20	216.13
Hamilton	26.48	44.85
Nicoz Diamond	102.39	568.99
Old Mutual	149.25	813.47
Quality	22.58	120.48
Safel	71.23	475.01
Sanctuary	38.47	218.64
Zimnat Lion	54.23	345.34
Total	952.70	4,202.14

The Minimum Capital Requirement for short-term insurance companies was increased from ZW\$2.5 million to ZW\$37.5 million in 2020. All short-term insurers also reported capital positions that were above the required minimum capital of ZW\$2.5 million as at 31 December 2019.

Asset Quality

Total assets for short-term insurers increased by 31.19% in nominal terms from ZW\$6.76 billion reported as at 30 September 2020 to ZW\$8.87 billion reported as at 31 December 2020. The increase in assets is mainly attributable to an increase in premium debtors.

Premium debtors rose significantly from ZW\$1.52 billion reported as at 30 September 2020 to ZW\$2.49 billion for the twelve months ended 31 December 2020, reflecting a nominal increase of 63.13%. The undesirable

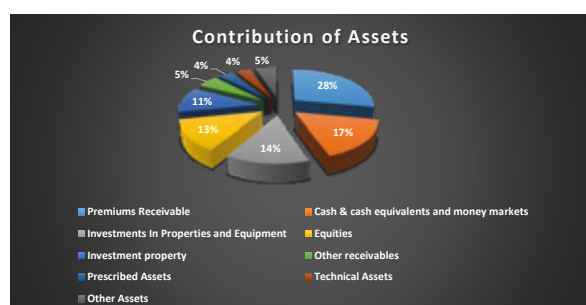
continued increase in premium debtors is a sign of weak credit risk management by the sector. To this end, the Commission is considering regulating No Premium No Cover to protect both the industry and policyholders against the negative impact of the issuance of cover on credit.

Investments in prescribed assets increased by 9.50% from ZW\$287.76 million as at 30 September 2020 to ZW\$315.10 million as at 31 December 2020. Only one out of the eighteen short-term insurers was compliant with the minimum prescribed asset ratio of 10%. Short-term insurers are urged to commit to their prescribed asset compliance roadmaps.

The Commission, in consultation with the industry recently reviewed the prescribed asset framework to widen the assets recognised for prescribed asset purposes in line with the National Development Strategy 1 (NDS 1) by including private projects and taking into cognisance industry needs to ensure preservation of investor and policyholder funds. The Commission has also called upon the industry to come up with projects that can be accorded prescribed asset status as a way of improving their compliance.

The contribution of various asset classes to total assets as at 31 December 2020 is shown in Figure 7 below:

Figure 7: Short-Term Insurers Contribution of Various Assets



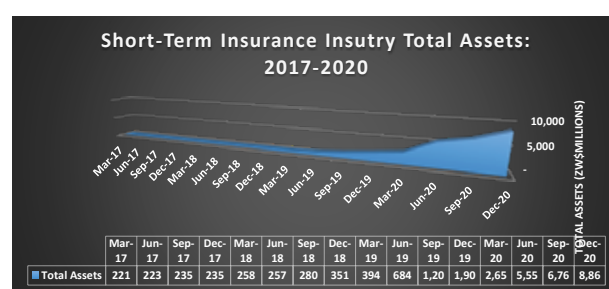
***Other Assets include Mortgages, Loans, Fixed Deposits, Investments in Associated Companies, Intangible Assets and Related Party Receivables.**

Premium receivables, cash & money markets and investment in properties and equipment are the three major classes of assets accounting for 58.70% of total assets.

Insurance players are encouraged to ensure that they structure their investment portfolios in a way that enables them to preserve policyholder value as well as ensuring a balanced investment mix in line with the Commission's investment limits outlined in Circular 2 of 2013.

Figure 8 below shows the trend in short-term insurance industry assets from 2017 to 2020.

Figure 8: Short-Term Insurance Industry Assets Trend



The sizeable jump in total industry assets between 2018 and 2020 as shown in Figure 8 above was on account of inflation spikes.

4.4. Reinsurance

The industry's average retention ratio increased from 35.80% for the year ended 31 December 2019 to 42.81% for the year ended 31 December 2020. This shows an average increase in risk appetite by the direct short-term insurers. Retention ratios for individual insurers ranged from 14.22% to 99.51%.

The average reinsurance creditors to reinsurance premium ratio was 36.29% as at 31 December 2020, compared to

28.73% reported as at 31 December 2019. (See Appendix 1C for more indicators).

4.5. Actuarial Matters

The short-term insurance industry reported a slight decrease of 0.65% in total technical liabilities from ZW\$1.55 billion as at 30 September 2020 to ZW\$1.54 billion as at 31 December 2020. The average liquid assets to total technical reserves ratio for the period under review was 111.51% as compared to 82.08% for the previous comparative period in 2019. The ratio measures the degree to which an insurer can cover its technical obligations by holding cash and other liquid investments to meet unexpected cash needs without the sale of investments that may result in substantial realised losses. This growth shows the cautious approach by industry players in setting aside liquid assets for unexpected claims.

However, some insurers reported ratios which were significantly below 100%. (See Appendix 1C for the performance indicators of insurance companies in terms of Actuarial matters).

4.6. Earnings

The short-term insurers reported total profit after tax of ZW\$2.43 billion for the year ended 31 December 2020, which was a 576% nominal increase from ZW\$359.52 million reported in the comparative period in 2019. The significant increase in total profit after tax was mainly driven by significant increases in GPW and unrealised gains of 562.08% and 819.89% respectively.

There was a slight movement in the combined ratio for the short-term insurers from 91.03% for the year ended 31 December 2019 to 91.18% for the period under review. Generally, a combined ratio below 100% is desirable as it indicates that the insurers are making underwriting profits while the opposite is true for a ratio above 100%.

As at 31 December 2020, the underwriting profit of the insurers was ZW\$369.98 million as compared to ZW\$35.51 million which was reported in the previous year, loosely translating to a nominal increase of 941.90%.

The industry's average return on assets (ROA) and return on equity (ROE) were 54.85% and 118.59% respectively for the period under review, compared to 34.40% and 67.62% respectively for the year ended 31 December 2019. The increases show that the short-term insurance sector has become more profitable in nominal terms. (For more performance indicators on profitability refer to Appendix 1C under earnings).

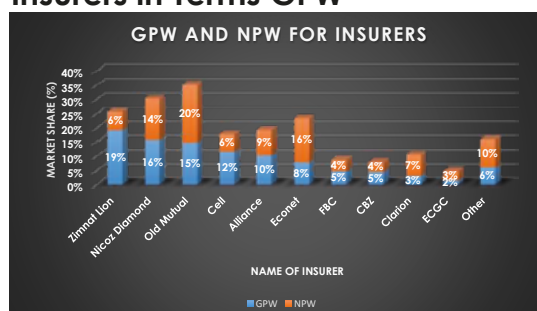
4.7. Liquidity

Total cash and near cash assets in the form of money market and short-term prescribed assets decreased from ZW\$1.63 billion as at 30 September 2020 to ZW\$1.48 billion as at 31 December 2020. The industry's acid test ratio as at 31 December 2020 averaged 33.47%, the low ratio is a cause for concern as this means that liquidity risk is high. The acid test ratio for individual insurers as at 31 December 2020 ranged from 9.45% to 188.27% as shown in Appendix 1C.

4.8. Market Share for Short-Term Insurers

Zimnat Lion, Nicoz Diamond and Old Mutual were the market leaders in terms of GPW with a combined market share of 49.94% for the year ended 31 December 2020. Figure 9 below shows market share in terms of GPW and NPW for all insurers:

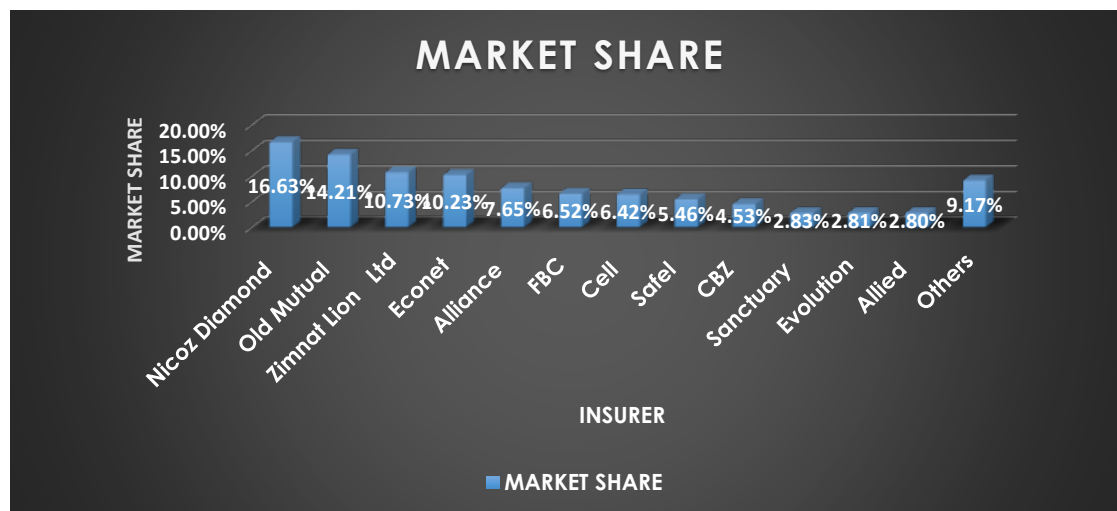
Figure 9: Market Share for Short Term Insurers in Terms GPW



***Others comprises of Allied, Champions, Credit Insurance, Evolution, Hamilton, Quality, Safel and Sanctuary.**

In terms of total assets, Nicoz Diamond, Old Mutual and Zimnat Lion were the major market leaders with a combined market share of 41.57% as shown in Figure 10 below:

Figure 10: Market Share for Short-Term Insurers in Terms of Total Assets

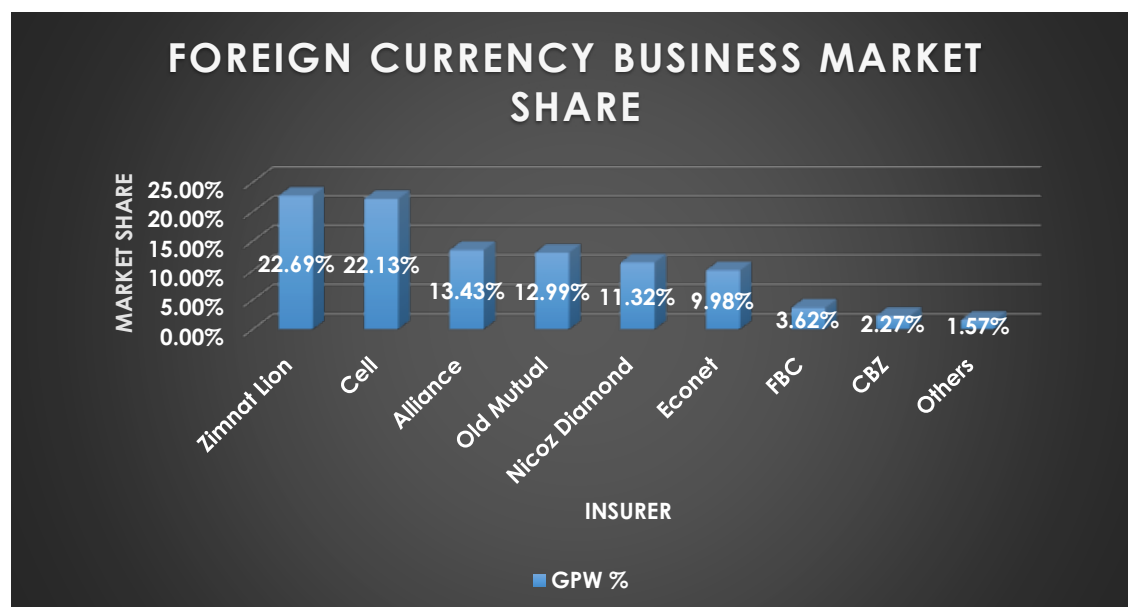


***Others comprises of Champion, Clarion, Credsure, ECGC, Hamilton and Quality.**

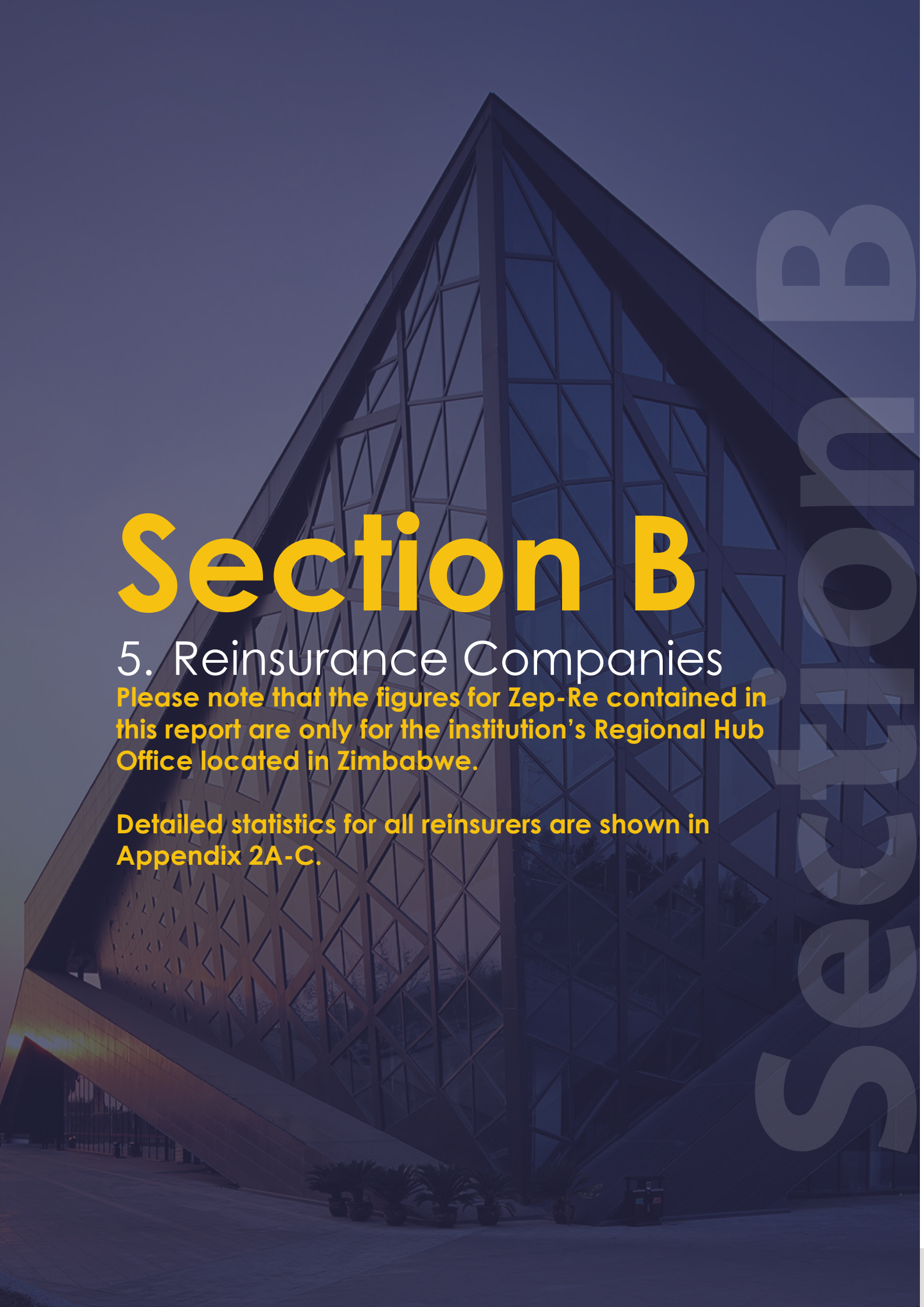
4.9. Market Share for Short-term Insurers in terms of Foreign Currency Denominated Business

During the year ended 31 December 2020, in terms of foreign currency denominated GPW, Zimnat Lion, Cell Insurance and Alliance were the market leaders with a combined market share of 58.26%. The market share of foreign currency denominated business is shown in Figure 11 below.

Figure 11: Market Share of USD Business for Short-Term Insurers.



***Others comprise of Credsure, Quality, ECGC, Champions, Allied, Sanctuary, Clarion, Safel and Hamilton.**



Section B

5. Reinsurance Companies

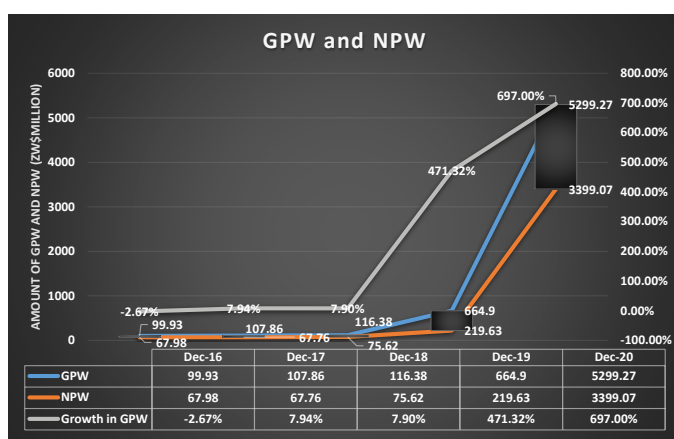
Please note that the figures for Zep-Re contained in this report are only for the institution's Regional Hub Office located in Zimbabwe.

Detailed statistics for all reinsurers are shown in Appendix 2A-C.

5.1. Performance in Terms of Business Written

The total business written by short-term reinsurers increased by 607.00% from ZW\$664.90 million for the year ended 31 December 2019 to ZW\$5.30 billion for the period under review in nominal terms. The increase is in line with the 562.08% nominal growth in the business written by short-term insurers in the comparative two periods. Figure 12 below shows the trend in volume of business written by short-term reinsurers from 2016 to 2020:

Figure 12: Short-term Reinsurers Trend in Business Written



The significant increase in business written for 2020 can be attributed to premium reviews in line with inflation developments in response to currency reforms. Table 6 below shows the percentage growth in GPW for different classes of business.

Table 6 : Short-Term Reinsurers' GPW By Class of Business

Class of Business	Gross Premium Written (ZW\$ Million)			Nominal % change	Inflation adjusted % change
	31-Dec-19	31-Dec-20	31-Dec-20		
		Inflation adjusted	Nominal		
Aviation	17.37	72.5	325.26	1772.52%	317.41%
Bonds/Guarantee	6.76	29.78	133.59	1876.25%	340.54%
Engineering	48.59	102.03	457.72	842.00%	109.99%
Farming	12.18	1.81	8.1	-33.47%	-85.17%
Fire	279.15	525.15	2,355.84	743.93%	88.13%
Marine	17.98	77.63	348.24	1836.84%	331.75%
Miscellaneous Accident	58.42	31.79	142.6	144.09%	-45.59%
Motor	165.09	223.14	1,001.00	506.33%	35.16%
Personal Accident	50.19	52.37	234.93	368.08%	4.34%
Personal Liability	6.24	41.86	187.78	2909.33%	570.83%
Other	2.91	23.23	104.2	3480.92%	698.24%
Total	664.88	1,181.29	5,299.27	697.03%	77.67%

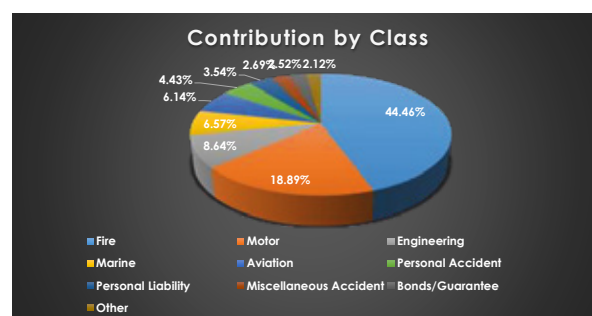
**Other comprises of hire purchase, hail, health and casualty insurance business.*

As seen in Table 6 above, the real increase in Gross Premium Written for the year ended 31 December 2020 was 77.67%,

which shows that there was real growth in short-term insurance business. Only two classes of short-term insurance experienced a decrease in income.

Figure 13 below shows the contribution of GPW by class of business for short term reinsurers.

Figure 13: Reinsurers Contribution



**Other comprises of farming hire purchase, hail, health and casualty insurance business.*

Fire and motor classes of business were the major sources of reinsurance business in terms of GPW as they contributed 63.35% of the overall business written for the year ended 31 December 2020. This is in line with the business trends reported by short-term insurers.

5.2. Foreign Currency Denominated Business

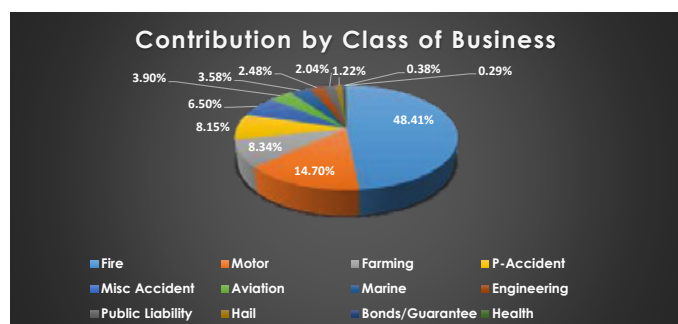
GPW written in foreign currency for the year ended 31 December 2020 was US\$67.05 million as shown in Table 7 below.

Table 7: Short-Term Reinsurers' USD GPW by Class of Business

Class of Business	GPW (US\$'000)
Aviation	2,615.45
Bonds/Guarantee	355.94
Engineering	1,863.27
Farming	5,588.52
Fire	32,460.34
Hail	815.45
Health	196.25
Marine	2,402.79
Miscellaneous Accident	4,354.41
Motor	9,859.12
Personal Accident	5,445.24
Public Liability	1,367.45
Total	67,046.45

Contribution of GPW for foreign currency denominated business by class is shown in Figure 14 below.

Figure 14: Contribution of Short- Term Reinsurers' USD GPW by Class of Business



Fire and motor were the major contributors of foreign currency denominated business for short-term reinsurance, accounting for 63.11% of GPW for the year ended 31 December 2020. The trend in the contribution by class of business is in line with the contributions observed in the short-term insurance business.

5.3. Capitalisation.

As at 31 December 2020, all the registered short-term reinsurers reported capital positions that were above the minimum capital requirement of ZW\$75 million. However, these reported capital positions were not adjusted in line with the provisions of Statutory Instrument (SI) 95 of 2017 which, among other things, discount non-permissible assets. The reported capital positions as at 31 December 2019 and 31 December 2020 for short-term reinsurers are shown in Table 8 below.

Table 8: Reported Capital Positions for Short-Term Reinsurers

Name of Reinsurance Company	Reported Capital Position (ZW\$ MILLION)	
	31-Dec-19	31-Dec-20
Emeritus	38.31	175.73
FBC	5.12	480.30
First Mutual	5.42	204.46
Grand	15.61	194.39
Tropical	6.87	314.29
Waica	10.35	234.91
ZB	12.40	524.69
ZEP RE	9.36	704.40
Total	103.44	2,833.17

The minimum capital requirement was increased from ZW\$5 million in 2019 to ZW\$75 million in 2020. Table 8 above

shows that all short-term reinsurance companies reported capital positions that were above the minimum capital threshold ZW\$5 million and ZW\$75 million as at 31 December 2019 and 31 December 2020 respectively.

The average solvency margin for short-term reinsurers was 82.52% as at 31 December 2020, which was below 143.61% reported as at 31 December 2019.

All the reinsurers were compliant with the minimum solvency margin of 25% as stipulated in Section 24(1a) (ii) of the Insurance Act [Chapter 24:07]. The solvency margin for individual reinsurers as at 31 December 2020 ranged from 33.51% to 226.08% as shown in appendix 2C.

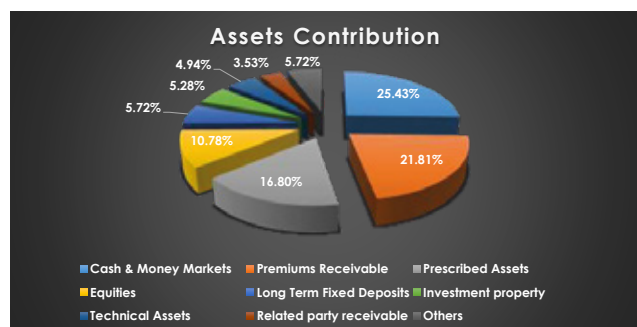
5.4. Asset Quality

Short-term reinsurers had an asset base of ZW\$6.40 billion as at 31 December 2020, which is a slight increase of 5.61% from the ZW\$6.06 billion reported as at 30 September 2020. Investments in prescribed assets slightly improved as the reinsurers had ZW\$1.08 billion invested in such assets as at 31 December 2020 as compared to ZW\$944.60 million invested as at 30 September 2020. However, only two out of eight reinsurers were compliant with the requisite prescribed asset threshold of 10% as at 31 December 2020.

Premium receivables rose from ZW\$1.19 billion as at 30 September 2020 to ZW\$1.40 billion as at 31 December 2020, indicating a percentage change of 17.65%. The increase in premium receivables continues to be a huge challenge and the Commission encourages players to ensure that they continuously design effective credit control systems to manage credit risk. It is the Commission's expectation that deliberations on the No Premium No Cover issue will provide a lasting

solution to the challenge of premium debtors especially to reinsurance business. The contribution of various assets to total assets as at 31 December 2020 is shown in Figure 15 below:

Figure 15: Short-Term Reinsurers' Contribution of Various Assets



**Others comprise of investment in associated companies, property and equipment, intangible assets and other receivables.*

Cash & money markets, premiums receivable and prescribed assets are the major asset classes making up 64.04% of total assets.

5.5. Actuarial Matters

Total technical liabilities increased from ZW\$1.5 billion as at 30 September 2020 to ZW\$1.85 billion as at 31 December 2020. Unearned Premium Reserves, which amounted to ZW\$962.32 million accounted for 51.98% of the total technical liabilities.

5.6. Retrocession

The sector's average retention ratio was 64.02% for the year ended 31 December 2020 compared to 66.97% that was reported for the comparative period in 2019. This reflects a slight decrease in risk appetite by the reinsurance companies. The individual reinsurers' reported retention ratios were ranging from 29.53% to 90.69% for the period under review.

5.7. Earnings

Total profit after tax for short-term reinsurers increased from ZW\$468.61 million for the period ended 31 December 2019 to ZW\$2.11 billion for the period ended 31 December 2020. The

significant contributor to the increase in profit were unrealised gains from assets.

The average combined ratio for the short-term reinsurers increased from 106.82% for the year ended 31 December 2019 to 111.98% for the period under review. The combined ratio and other ratios that relate to profitability for short-term reinsurers is shown in Appendix 2C under earnings.

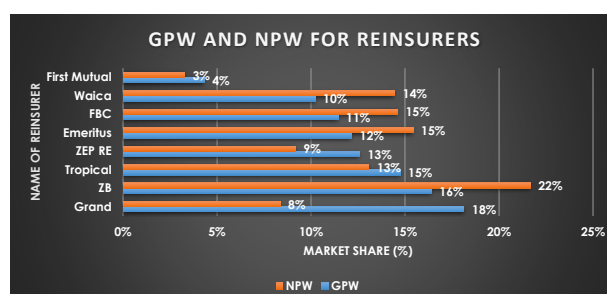
5.8. Liquidity

Liquid assets held by short-term reinsurers decreased from ZW\$2.65 billion as at 30 September 2020 to ZW\$1.63 billion as at 31 December 2020. The average acid test ratio for individual short-term reinsurers fell from 117.75% as at 31 December 2019 to 46.28% as at 31 December 2020. The significant drop in the average acid test ratio is a cause for concern as this indicates an increase in liquidity risk for short term reinsures. The acid test ratios for short-term reinsurers are shown on Appendix 2C under liquidity.

5.9. Market Share for Reinsurers

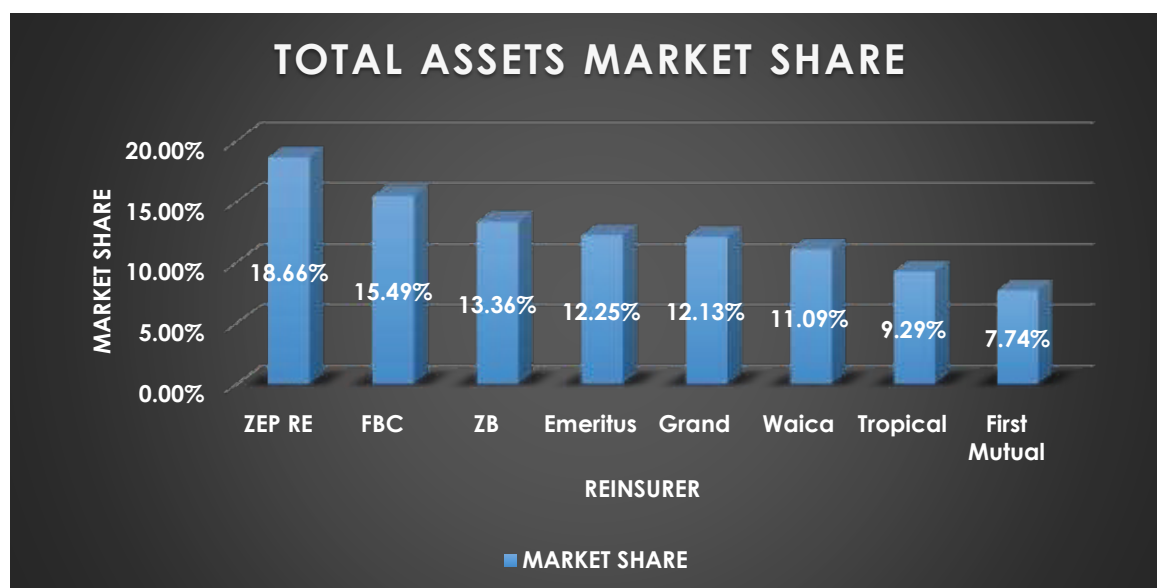
As shown in Figure 16 below, the market leaders in terms of GPW were Grand Re, ZB Re and Tropical Re. These reinsurers controlled 49% of Gross Premium Written (GPW) for the twelve months ended 31 December 2020. The market leaders in terms Net Premium Written (NPW) were ZB Re, Emeritus Re and FBC Re which controlled 52% of the NPW for the twelve months ended 31 December 2020.

Figure 16: Market Share for Short -Term Reinsurers in Terms of GPW and NPW



In terms of market share based on total assets, Zep-Re, FBC Reinsurance Company and ZB Reinsurance were the market leaders for the year ended 31 December 2020, with a combined market share of 47.51% as depicted in Figure 17.

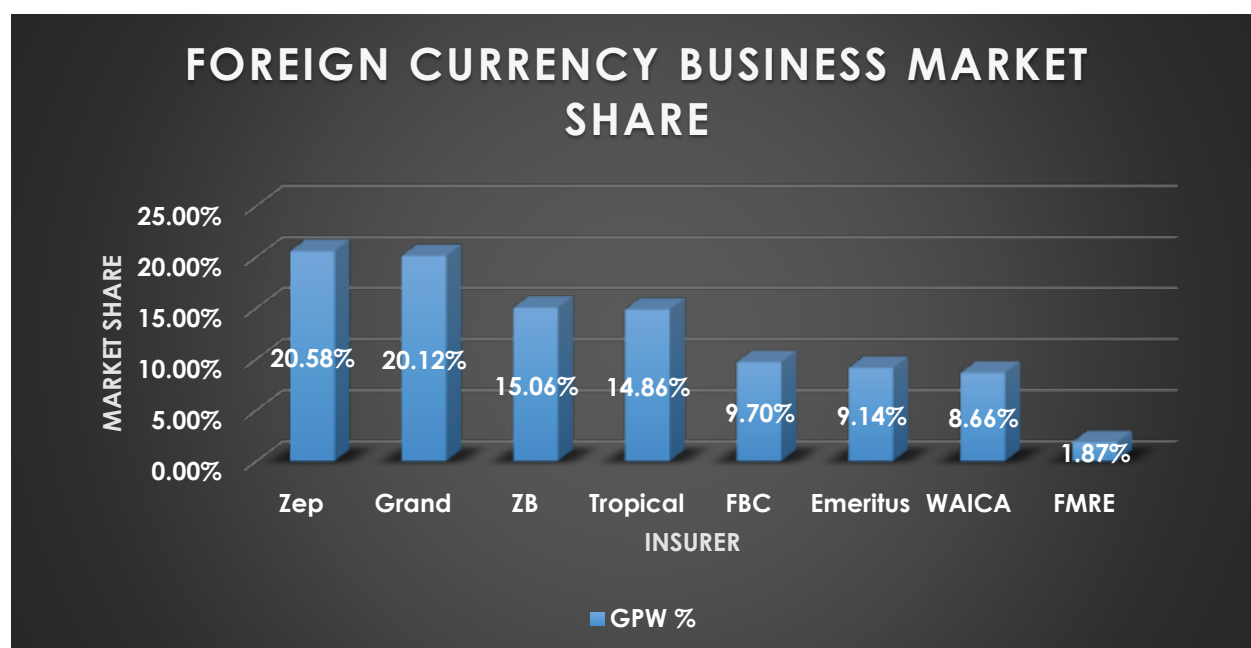
Figure 17: Market Share for Short-Term Reinsurers in Terms of Total Assets



5.10. Foreign Currency Denominated Business

The market leaders in terms of foreign currency denominated GPW were Zep Re, Grand Re and ZB Re. These reinsurers controlled 55.76% of Gross Premium Written (GPW) for the year ended 31 December 2020 as shown in Figure 18 below.

Figure 18: Market Share for Short-Term Reinsurers in Terms of USD Business Written



The background of the slide features a close-up of two hands cupped together, holding a small, light-colored silhouette of a family (two adults and two children) walking. The entire image has a dark, semi-transparent overlay. On the right side, the word 'Section' is written vertically in a large, light-colored font.

Section C

6. Microinsurance Companies

6. Microinsurance Companies

There are two micro-insurance companies registered with IPEC, which are Coverlink Microinsurance and Golden Knot Microinsurance. Golden Knot was registered in October 2020.

6.1. Business Written

The total Gross Premium Written by the micro-insurers in the year ended 31 December 2020 is ZW\$79.26 million. Foreign currency denominated business written by Coverlink amounted to US\$323.27, Golden Knot did not write any foreign currency denominated business during the year ended 31 December 2020.

6.2. Capitalisation

As shown in table 9 below, both micro-insurers were compliant with the minimum capital requirement of ZW\$4.5 million as at 31 December 2020.

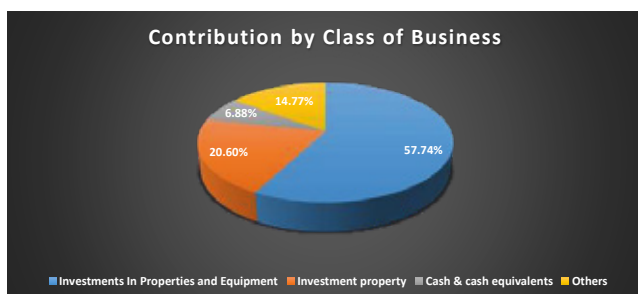
Table 9: Reported Capital Positions for Microinsurers

Name of Microinsurance Company	Reported Capital Position (ZW\$ Million)
	31-Dec-20
Coverlink	90.66
Golden Knot	14.82
Total	105.48

6.3. Asset Quality

The Micro-insurers reported a total asset base of ZW\$131.00 million as at 31 December 2020. The contribution of various asset classes to total assets as at 31 December 2020 is shown in Figure 19 below:

Figure 19: Microinsurance contribution of various assets



Investment in properties and equipment is the major asset class, constituting 57.74% of total assets.

6.4. Earnings

The micro-insurers recorded total profit after tax of ZW\$24.10 million for the period under review.

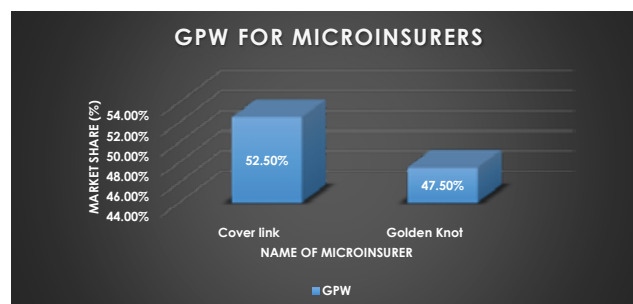
6.5. Liquidity

The micro-insurers cash and near cash assets in the form of money market instruments amounted to ZW\$9.91 million and the acid test ratio was 69.27% as at 31 December 2020.

6.6. Market Share for Microinsurers

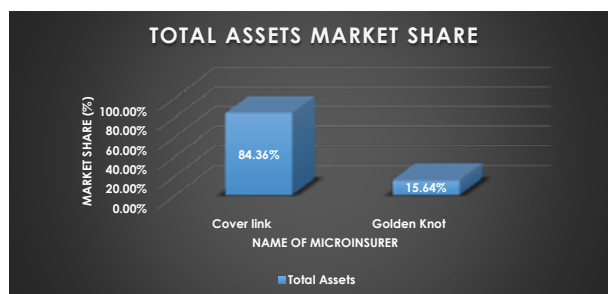
As shown in Figure 20 below, the market leader in terms of GWP was Coverlink which controlled 52.50% of Gross Premium Written (GPW) for the year ended 31 December 2020.

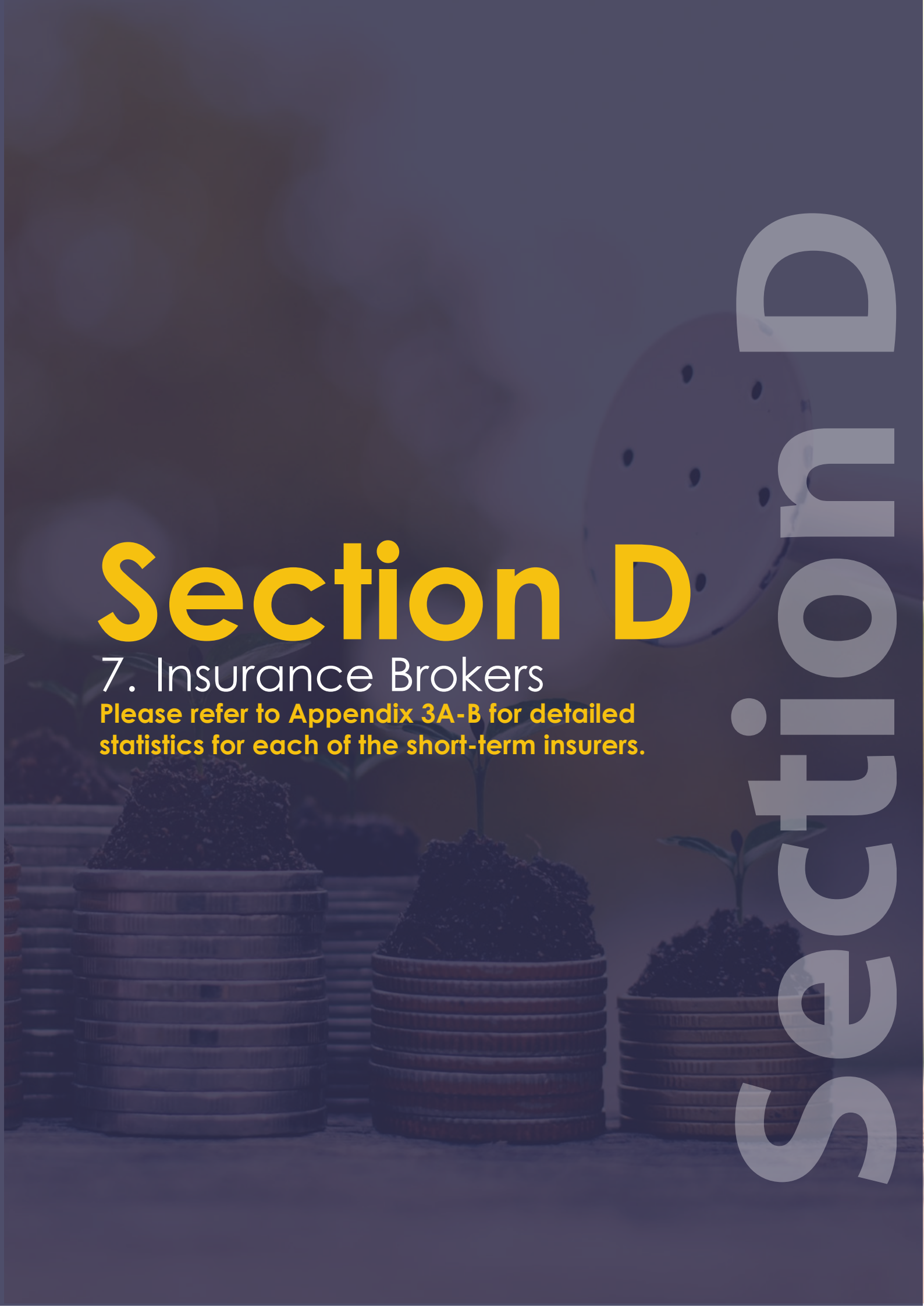
Figure 20: Market Share for Microinsurers in Terms of GPW



In terms of market share based on total assets, Coverlink was the market leader for the year ended 31 December 2020, with a market share of 84.36% as depicted in Figure 21.

Figure 21: Market Share for Microinsurers in Terms of Total Assets





Section D

7. Insurance Brokers

Please refer to Appendix 3A-B for detailed statistics for each of the short-term insurers.

Section D

7. Insurance Brokers

The following is an analysis of the insurance brokers' business performance for the quarter ended 31 December 2020. This report contains statistical data for insurance brokers who submitted their returns with the Commission. Out of the 32 registered brokers, 29 submitted their returns in compliance with the prescribed date of submission.

7.1. Business written by Direct Insurance Brokers

For the year ended 31 December 2020, premium income by insurance brokers increased by 763% from ZW\$540 million to ZW\$4.7 billion in nominal terms and 147% to ZW\$1.3 billion in real terms from the comparative period in 2019. This shows that 616% of the increased business volume reported by the insurance brokers was mainly driven by inflationary trends which remained high in the period under review. Table 10 below shows key indicators for the business written by the insurance brokers for the year ended December 2020.

Table 10: Key indicators for the business written by the Short-term Insurance brokers

Indicator	31-Dec-19 (ZWS)	Inflation Adjusted 31-Dec-20 (ZWS)	31-Dec-20 (ZWS)	Nominal % change	Inflation Adjusted % Change
Premium Written	539,644,000	1,334,575,849	4,657,669,712	763%	147%
Premium Payable	446,683,000	1,144,615,122	3,994,706,777	794%	156%
Brokerage Commission	92,961,000	188,523,447	657,946,829	608%	103%
Commission Paid	9,837,000	7,757,031	27,072,039	175%	-21%
Net Brokerage Commission	83,124,000	182,203,695	635,890,896	665%	119%
Other Income	22,532,000	54,905,037	191,618,578	750%	144%
Operating Expenses	64,093,000	130,119,436	454,116,832	609%	103%
Profit Before Tax	41,563,000	118,481,203	413,499,400	895%	185%
Taxation	8,669,000	24,893,753	86,879,196	902%	187%
Profit After Tax	32,894,000	93,595,087	326,646,855	893%	185%

7.2. Capitalisation

The reported capital positions of all insurance brokers improved significantly. As at 31 December 2020, a total 28 out of 29 brokers who submitted their returns, reported capital positions that were above the minimum capital requirement of ZW\$1.5 million as shown in Table 11 below.

Table 11: Short- Term Insurance Brokers' Reported Capital Positions

Name of Insurance Broker	31-Dec-19	31-Dec-20
1. Goldstick Insurance Brokers	4, 468, 099	4, 143, 287
2. Amour Khan Insurance Brokers (Pvt) Ltd	140, 645	2, 088, 868
3. Victory Insurance Brokers (Pvt) Ltd	1, 432, 112	11, 919, 480
4. Hostcare Insurance Brokers (Pvt) Ltd	12, 414	9, 274, 282
5. Eureka Insurance Brokers	775, 422	10, 285, 906
6. Perpro Insurance Brokers (Pvt) Ltd	631, 162	9, 286, 500
7. TIB Insurance Brokers	449, 008	8,977, 230
8. Glenrand MIB (Zimbabwe) (Pvt) Ltd	3, 200, 574	23, 660, 228
9. Firstlink Insurance Brokers (Pvt) Ltd	-125, 447	32, 930, 369
10. Capitol Insurance Brokers (Pvt) Ltd	4, 462, 105	33, 068, 077
11. First Sun Alliance Insurance Brokers	3, 055, 525	22, 401, 093
12. WFDR (Pvt) Ltd	3, 112, 935	30, 792, 336
13. Marsh Insurance Brokers Zimbabwe	-9, 992, 838	30, 739, 897
14. Eaton and Young	6, 582, 645	60, 649, 690
15. Hunt Adams & Associates (Pvt) Ltd	1, 927, 954	6, 344, 154
16. CBZ Risk Advisory Services	7, 832, 099	27, 873, 344
17. Broksure Insurance Brokers (Pvt) Ltd	139, 168	5, 461, 547
18. Minerva Risk Solutions (Pvt) Ltd	19, 285, 079	209, 466, 305
19. Momentum Insurance Brokers	1, 036, 723	7, 256, 506
20. Coverlink Insurance Brokers	1, 652, 723	8, 707, 809
21. Zimbabwe Insurance Brokers Limited	6, 138, 312	28, 049, 276
22. Care Insurance Brokers	848, 414	2, 839, 139
23. Paul Mkondo Insurance Brokers	172, 109	15, 611, 708
24. L A Guard	1, 757, 183	13, 250, 793
25. SATIB Insurance Brokers	1, 970, 829	32, 409, 781
26. Entwide Insurance Brokers	205, 104	1, 834, 250
27. HRIB Insurance Brokers	11, 527, 118	42, 101, 171
28. Rainbow Insurance Brokers	-15, 551	27, 317
29. Progressive Insurance broker	97, 840	17, 685, 898

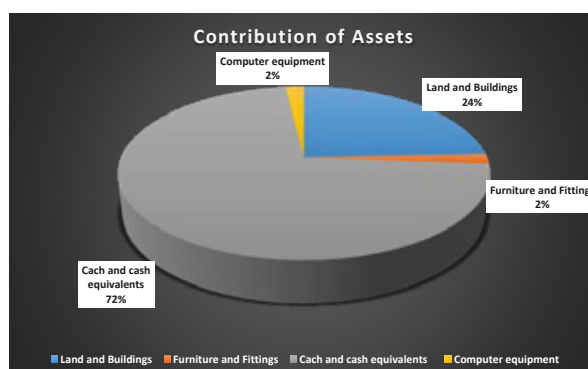
Key:

	Below minimum capital requirement of \$1.5 million
	Above minimum capital requirement of \$1.5 million

7.3. Asset Distribution

For the period under review, the majority of the assets were held in cash and cash equivalents as shown in Figure 22 below.

Figure 22: Asset Distribution for Short-term Insurance brokers



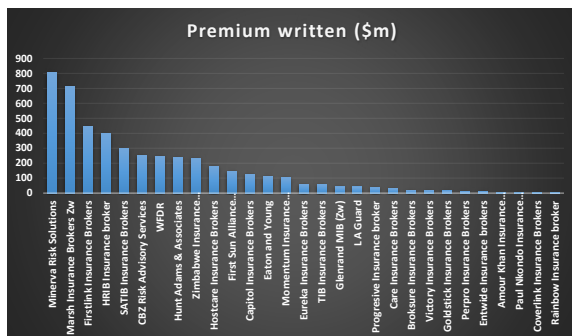
7.4. Earnings

The insurance brokers reported profit after tax amounting to ZW\$327 million for the year ended 31 December 2020, reflecting an annual nominal increase of 1, 927% from ZW\$16.08 million reported as at 31 December 2019. Premium reviews in line with inflation developments were the major contributor to significant increases in profit reported by brokers in the period under review.

7.5. Market Share for Insurance Brokers

Figure 23 below shows the distribution of market share for the insurance brokers for the year ending 31 December 2020. Minerva, Marsh Insurance Brokers, Firstlink Insurance Brokers and HRIB dominated the market in the period under review in terms of gross premium written.

Figure 23: Market share of GPW for Insurance Brokers



7.6. Foreign Currency Business by Insurance Brokers

Only seven (7) out of the thirty-two (32) registered insurance brokers submitted USD income returns as required by Circular Number 15 of 2020, which provides for the submission of information on Foreign Currency Denominated Business by registered Insurance Entities. The Commission is currently taking regulatory action against brokers who did not submit the required returns.

The seven short-term insurance brokers wrote total Gross Premium Written (GPW) amounting to US\$7.04 million for the year ended 31 December 2020. A total of US\$1.29 million was brokerage commission received while brokerage commission paid was US\$0.27 million.

During the period under review, net brokerage commission amounting to US\$1.03 million was reported. The seven short-term insurance brokers reported operating expenses amounting to US\$0.32 million, resulting in profit before tax of US\$0.71 million.

Table 12 below shows the USD income statement for the seven short-term insurance brokers who lodged their USD returns as at 31 December 2020.

Table 12: Short-term Insurance Brokers USD-Denominated Income Statement.

Indicator	31-Dec-20 US\$
Premium Written	7,040,647
Premium Payable	5,745,799
Brokerage Commission	1,294,849
Commission Paid	269,347
Net Brokerage Commission	1,025,502
Other Income	0
Operating Expenses	318,205
Profit Before Tax	707,297
Taxation	82,373
Profit After Tax	654,923

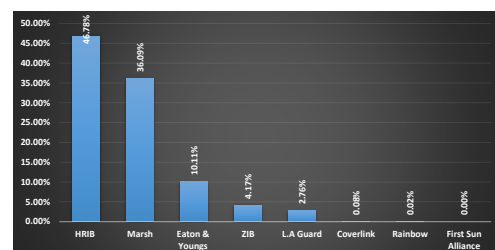
7.7. Market Share for Short Term Insurance Brokers in terms of Foreign Currency Denominated Business.

Based on the submitted returns by the seven short-term insurance brokers, HRIB and Marsh Insurance Brokers were the market leaders in terms of foreign currency denominated business as they controlled 82.87% of the US\$7.04 million premium written.

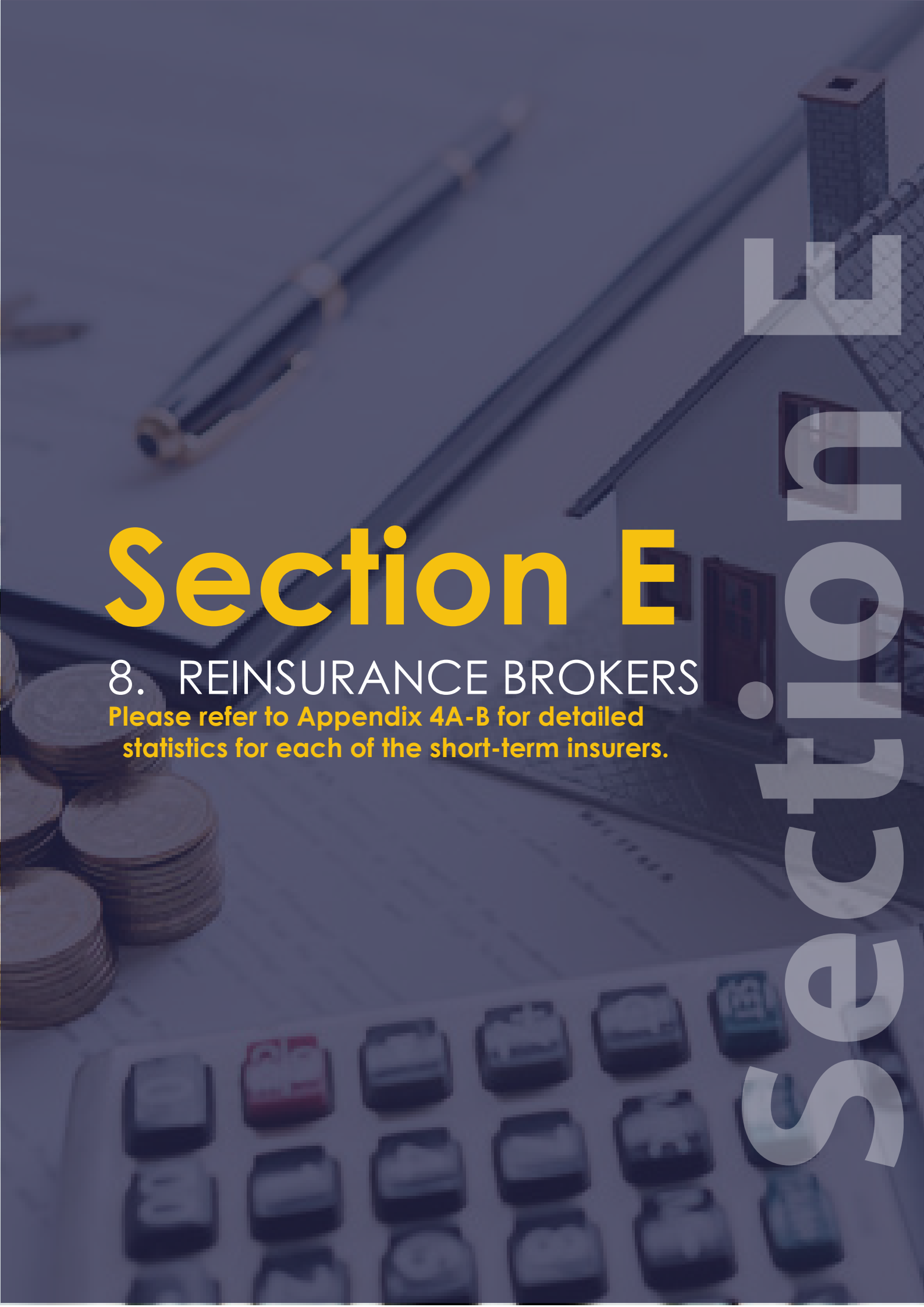
The remaining market share was constituted by the remaining five insurance brokers that submitted the USD returns.

Figure 24 below shows the market share in terms of premium written by the insurance brokers.

Figure 24: Premium Written Market Share for the Insurance Brokers.



HRIB and Marsh Insurance Brokers remained the key market leaders even in ZW\$ denominated business.



Section E

8. REINSURANCE BROKERS

Please refer to Appendix 4A-B for detailed statistics for each of the short-term insurers.

Section E

8.1. Premium Written

Reinsurance brokers reported significant nominal increase in gross premium written during the year ended 31 December 2020. Total premiums amounting to ZW\$2.57 billion were written in the period under review indicating growth of 674% in nominal terms and 122% in real terms. This shows that 552% of the gross premium written by reinsurance brokers was driven by inflationary trends. The table below shows key indicators of business written by reinsurance brokers for the year ended 31 December 2020.

Table 13: Key indicators of Reinsurance Brokers

Indicator	31-Dec-19 (ZWS Million)	Inflation-Adjusted 31-Dec-20 (ZWS Million)	31-Dec-20 (ZWS Million)	Nominal % Change	Inflation-Adjusted %Change
Premium Written	331.66	735.29	2,566.17	674%	122%
Premium Payable	248.65	658.33	2,297.58	824%	165%
Brokerage Commission	83.01	74.17	258.87	212%	-11%
Commission Paid	70.82	54.21	189.21	167%	-23%
Net Brokerage Commission	10.95	22.74	79.38	625%	108%
Other income	20.04	26.86	93.73	368%	34%
Operating expenses	11.43	17.66	61.64	439%	55%
Profit Before Tax	19.56	34.12	119.09	509%	74%
Taxation	4.99	0.69	2.43	-51%	-86%
Profit After Tax	14.58	33.43	116.67	700%	129%

8.2. Capitalisation

As at 31 December 2020 all reinsurance brokers reported capital positions that were above the minimum capital requirement of ZW\$1.5 million. Table 14 below shows the capital positions reported by all reinsurance brokers as at 31 December 2020.

Table 14: Capital Position for Reinsurance Brokers

Name of Reinsurance Broker	31-Dec-19 (ZWS)	31-Dec-20 (ZWS)
Capital Reinsurance Brokers	461,534	6,279,762
Pan African Re	3,476,858	6,913,947
Marsh Reinsurance Brokers	-1,035,888	7,814,091
Afro-Asian Reinsurance Brokers	2,075,060	7,906,202
Minerva Re-Insurance Brokers	16,476,858	109,490,172
Classic Reinsurance Brokers	2,963,895	9,538,723
Reinsurance Brokers International	405,424	4,103,642

Key:

	Capitalisation level above minimum capital requirement of ZW\$1.5 Million
	Capitalisation level below minimum capital requirement of ZW\$1.5 Million

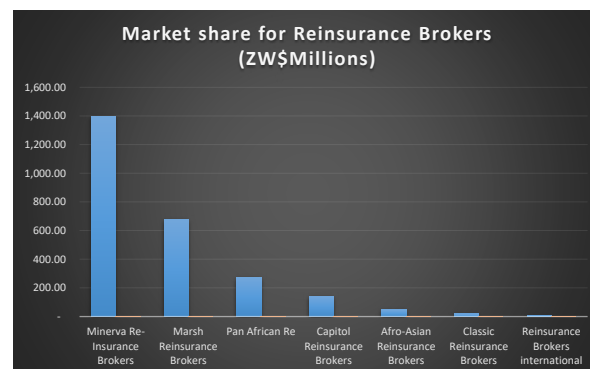
8.3. Market share for Reinsurance Brokers

Table 15 below shows total gross premium written by reinsurance brokers and their market share for the year ended 31 December 2020.

Table 15: Market share in terms of GPW for Reinsurance Brokers

Name of Reinsurance Broker	Premium written (ZWS Millions)	Market Share
Minerva Re-Insurance Brokers	1,393.66	54.4%
Marsh Reinsurance Brokers	677.54	26.4%
Pan African Re	274.65	10.7%
Capital Reinsurance Brokers	140.56	5.5%
Afro-Asian Reinsurance Brokers	48.62	1.9%
Classic Reinsurance Brokers	21.20	0.8%
Reinsurance Brokers International	7.95	0.3%

Figure 25: Market share of GPW for Reinsurance Brokers



8.4. Foreign Currency Denominated Business

All reinsurance brokers did not submit their foreign currency denominated returns as required by Circular Number 15 of 2020, which provides for the submission of information on Foreign Currency Denominated Business by registered Insurance Entities. The Commission is currently taking regulatory action against brokers who did not submit the required returns.

A background image showing a pair of hands writing on a document. One hand holds a pen, and the other hand is positioned near the writing. The image is overlaid with a semi-transparent blue filter.

9. COMPLAINTS

9.1. Complaints Resolution Report

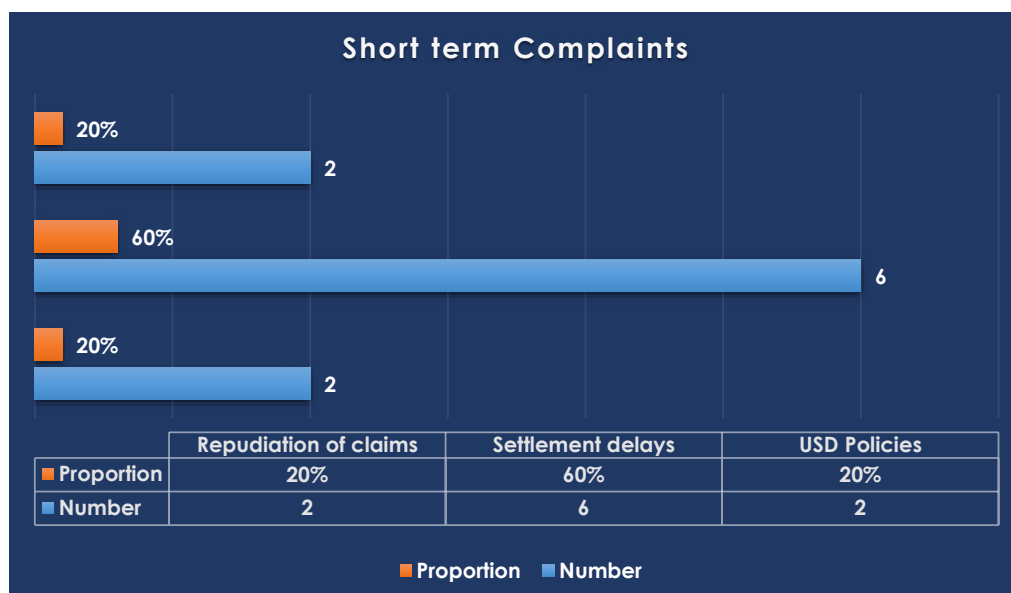
The Commission received 10 complaints during the period under review, of which nine (9) of them were resolved while the other one was still under investigation as at the close of the year.

The major source of complaints was the delay in settlement of claims (6), followed by disputes on USD-denominated policies prior to the gazetting of Statutory Instrument 142 of 2019, which reintroduced the Zimbabwe dollar and repudiation of claims, both with two (2) complaints each.

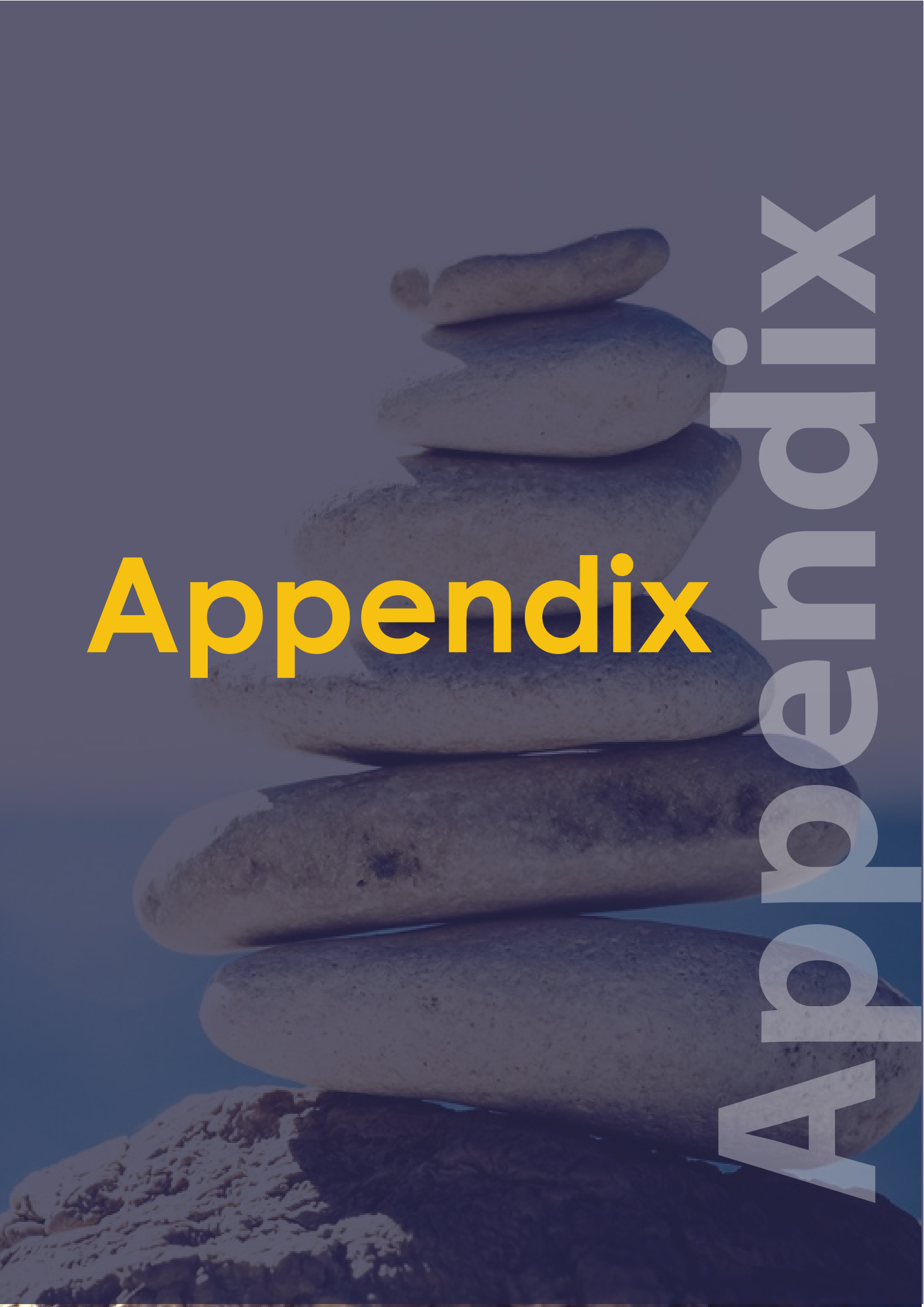
Some of the delays in settlement of claims were attributed to investigations by insurers where there were suspicions of fraudulent claims or where there was insufficient documentation to enable claim settlement.

The Figure 26 below shows the distribution of the complaints received.

Figure 26: Short-term Complaints



On delays in the settlement of claims, the Commission urges insurers to settle claims timeously to ensure policyholders get value for money. The Commission does not tolerate unjustified delays in settling valid claims. Therefore, insurers should settle claims without the need for the regulator's intervention. Where there are ongoing investigations, the turnaround time should be reasonable and the insurance companies should keep policyholders informed of the processes.

A stack of smooth, light-colored stones is arranged vertically on a beach. The stones vary in size and shape, with some being more rounded and others more elongated. The background is a clear blue sky. The word "Appendix" is written in a large, bold, yellow font across the middle of the image.

Appendix

Appendix

Statement of Comprehensive Income for Short Term Insurers for the year ended 31 December 2020 (Zw\$ million)

	Alliance	Allied	CBT	Cell	Champion ^s	Clarton	Credure	ECGC	Econet	Evolution	FBC	Hamilton	Nicoz Diamond	Old Mutual	Quality	Safel	Sanctuary	Zimnet Lion Ltd	Total
Gross Premium Written	939.79	39.88	410.42	1,070.52	116.78	289.06	99.42	139.55	722.97	106.72	431.82	62.75	1,444.25	1,345.94	42.13	41.81	45.46	1,757.86	9,107.12
Reinsurance	586.47	23.61	273.79	833.89	24.52	2.04	70.37	10.76	116.11	34.95	275.16	0.31	881.41	533.37	8.39	2.16	2.69	1,507.92	5,207.92
Net Premium Written	353.31	16.26	136.63	236.64	92.26	287.02	29.05	128.79	606.86	71.78	156.66	62.45	562.83	792.57	33.74	39.65	42.77	249.94	3,899.21
Transfer to/from unearned premiums	68.75	6.63	27.07	45.52	5.40	66.01	4.00	52.93	165.25	20.60	26.42	15.35	46.49	123.34	14.39	6.57	20.40	71.97	787.08
Net Earned Premium	284.57	9.64	109.56	191.12	86.86	221.01	25.06	75.86	441.61	51.18	130.24	47.10	516.34	669.23	19.35	33.08	22.36	177.97	3,112.13
Net Claims Incurred	183.03	3.91	46.65	57.93	14.04	26.95	7.32	21.89	86.19	28.70	60.51	1.30	166.53	297.91	3.43	1.82	1.01	49.35	1,058.46
Unearned premium reserve mvt (DAC)	(13.75)	(3.08)	(3.95)	13.31	(1.08)	14.96	(1.10)	0.31	(63.70)	(0.10)	(0.05)	(1.87)	(9.60)	(15.84)	(4.38)	0.03	(2.04)	(3.55)	(95.47)
Net Commissions Incurred	1.22	(0.55)	(6.68)	(53.69)	(5.90)	132.13	4.48	6.14	157.01	6.90	9.38	5.29	16.94	68.57	7.77	12.41	11.86	(115.10)	258.19
Technical Result	114.06	9.36	73.54	173.57	79.80	46.97	14.35	47.53	262.11	15.67	60.39	42.38	342.47	318.59	12.53	18.83	11.53	247.27	1,890.94
Operating Expenses	125.73	18.99	65.42	102.63	63.27	43.11	32.73	44.92	136.55	18.63	147.19	41.14	206.48	266.72	17.24	7.31	29.26	153.63	1,520.96
Underwriting Results	(11.67)	(9.62)	8.12	70.94	16.54	3.86	(18.38)	2.61	125.56	(2.96)	(86.79)	1.23	135.98	51.87	(4.71)	11.51	(17.73)	93.63	369.98
Investment Income	0.22	(1.04)	0.26	6.48	0.00	0.22	6.42	0.58	182.63	55.38	0.52	0.00	3.08	16.25	0.78	0.91	0.00	0.84	273.74
Unrealised Gains/(Losses)	31.10	166.79	33.27	115.61	(9.89)	0.00	23.70	17.26	56.25	0.00	105.08	0.00	505.71	447.27	46.75	0.00	193.13	171.99	1,904.02
Other Income/(Expenses)	9.44	7.96	(6.84)	20.51	10.41	7.04	0.65	5.64	2.83	3.12	13.05	7.75	28.73	154.24	0.82	0.00	4.87	0.00	270.22
Profit/(Loss) Before Tax	29.10	164.08	34.81	213.54	17.06	11.12	12.39	26.09	367.27	55.74	31.86	8.98	673.51	669.63	43.64	12.42	180.27	266.47	2,817.96
Taxation	0.00	3.80	(4.13)	20.03	7.72	2.86	3.06	0.00	193.43	0.00	(11.01)	1.35	142.85	14.21	0.00	0.00	0.00	11.34	385.51
Profit/(Loss) After Tax	29.10	160.28	38.94	193.51	9.34	8.25	9.32	26.09	173.84	55.74	42.87	7.64	530.67	655.42	43.64	12.42	180.27	255.12	2,432.46
Dividends	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	82.14	0.00	0.00	0.00	0.00	0.00	82.14
Retained Income	29.10	160.28	38.94	193.51	9.34	8.25	9.32	26.09	173.84	55.74	42.87	7.64	448.53	655.42	43.64	12.42	180.27	255.12	2,350.32

Appendix 1B

Statement of Financial Position for Short Term Insurers as at 31 December 2020 (ZW\$ million)

	Alliance	Allied	CBZ	Cell	Champions	Clarton	Credence	ECGC	Ecotel	Evolution	FBC	Hermiton	Nicoz Diamond	Old Mutual	Quality	Safel	Sanctuary	Zimlat	Total
EQUITY AND LIABILITIES																			
Shareholders' Equity :																			
Share Capital	0.30	0.03	0.08	0.01	0.38	1.49	0.02	1.50	0.00	2.35	0.00	0.30	2.99	0.30	0.23	4.25	0.10	2.50	17.04
Share Premium	0.00	1.09	23.18	3.91	0.00	0.00	4.92	12.60	37.30	0.00	2.80	1.30	12.83	0.00	0.60	0.00	2.15	0.05	102.94
Revaluation & Other Reserves	56.56	18.11	75.38	31.74	45.50	39.42	113.99	26.01	46.53	17.34	161.61	14.37	0.00	2.61	76.01	434.31	0.11	38.31	1,197.91
Minority Interest	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Certificate of deposit	0.00	0.00	0.00	0.00	0.00	0.00	0.00	1.97	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	1.97
Retained Profit	47.37	194.21	38.94	215.40	13.18	9.98	10.14	26.09	173.84	108.33	51.72	28.48	553.17	810.56	43.64	36.45	216.28	304.48	2,882.28
TOTAL (Specify)	104.23	213.44	137.58	251.06	59.07	50.90	129.08	68.16	257.67	128.03	216.13	44.85	568.99	813.47	120.48	475.01	218.64	345.34	4,202.14
Non-current Liabilities :																			
Deferred Tax Liabilities	21.12	6.99	25.75	0.19	(0.07)	0.16	3.22	0.00	6.48	5.22	(10.52)	0.00	147.10	23.92	5.75	0.00	0.00	7.26	242.60
Long Term loan	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.11	0.11
TOTAL NON-CURRENT LIABILITIES	21.12	6.99	25.75	0.19	(0.07)	0.16	3.22	0.00	6.48	5.22	(10.52)	0.00	147.10	23.92	5.75	0.00	0.00	7.37	242.71
Current Liabilities :																			
Reinsurance Cedeios	216.47	3.52	90.30	195.49	9.38	0.00	44.67	6.30	34.09	95.34	195.29	0.07	572.02	84.23	0.12	0.53	3.35	338.85	1,890.02
Related party payables	5.00	0.00	7.89	0.00	0.01	0.00	0.00	0.00	77.48	0.00	0.00	0.00	3.36	6.15	0.00	0.00	0.00	32.69	134.36
Current provisions	0.00	0.00	(0.39)	7.79	1.06	3.39	0.63	13.02	38.22	0.12	1.14	0.60	17.67	10.44	5.47	0.00	0.00	6.92	106.07
Finance lease obligations	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.35	0.00	0.00	0.00	0.00	0.00	0.00	8.40	8.75
Bank Overdrafts	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Other payables	31.22	11.91	47.55	10.01	13.31	0.78	3.26	0.00	297.85	0.00	130.71	1.58	19.03	59.99	3.74	0.00	5.83	115.39	747.13
TOTAL CURRENT LIABILITIES	252.48	15.42	145.36	213.28	23.76	4.16	48.55	19.32	442.63	95.46	327.48	2.25	614.08	160.81	9.33	0.53	9.18	502.24	2,886.54
Technical Liabilities:																			
Gross Outstanding Claims	187.87	3.29	37.15	47.08	0.56	3.37	0.61	6.93	0.00	0.91	7.69	1.73	29.29	68.17	1.09	0.88	0.12	9.24	405.98
Outstanding claims (IBNR)	20.34	0.81	13.66	2.96	7.40	14.35	2.96	13.25	10.39	1.24	7.83	1.26	45.99	55.34	1.69	0.70	1.69	11.16	210.54
Unearned Premiums	92.39	8.65	42.88	54.85	6.46	71.75	4.42	55.70	190.16	18.23	29.97	15.69	70.63	138.21	15.06	7.48	22.70	76.47	921.49
TOTAL TECHNICAL LIABILITIES	300.59	12.75	93.49	104.88	14.41	89.48	7.99	75.88	200.55	20.38	45.49	18.68	145.01	261.71	17.84	9.06	22.94	96.87	1,538.02
TOTAL EQUITY & LIABILITIES	678.63	248.61	402.19	569.41	97.17	144.70	188.84	163.35	907.34	249.09	578.59	65.78	1,475.18	1,259.92	153.40	484.60	250.77	951.82	8,869.40
ASSETS																			
Non-Current Assets :																			
Investments in Properties and Equipment	99.89	19.57	98.74	20.12	52.27	56.74	120.74	29.81	36.57	2.14	177.86	14.42	5.62	32.22	78.94	322.76	4.24	73.30	1,245.96
Equities	3.70	0.00	10.13	53.10	11.83	0.00	5.67	9.68	216.66	63.18	57.87	28.59	72.80	562.04	47.76	0.00	0.05	21.98	1,164.99
Government Municipal and Bonds	3.02	2.07	16.61	5.13	0.55	3.75	1.11	6.60	10.82	3.03	0.00	0.00	81.40	157.04	6.90	0.36	0.01	16.65	315.10
Long Term Fixed Deposits	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	14.83	0.00	0.00	0.00	0.00	0.00	14.83
Mortgages and Loans	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	232.46	0.00	232.46
Investments in Associated Companies	0.00	0.00	0.00	38.84	1.38	0.16	0.00	0.00	0.00	0.00	0.00	0.00	3.73	0.00	0.00	0.00	0.00	44.11	44.11
Investment property	0.00	193.18	44.27	14.36	0.00	0.08	0.00	16.41	0.00	79.22	0.98	0.00	441.92	24.66	0.00	142.80	0.00	0.00	957.87
Intangible Assets	0.00	0.00	0.13	0.00	0.67	0.75	0.95	0.00	4.20	0.62	0.15	0.00	0.75	0.00	0.01	0.00	0.00	7.35	15.57
TOTAL NON-CURRENT ASSETS	106.61	214.82	169.88	131.54	66.69	61.48	128.47	62.49	268.25	148.19	236.86	43.01	621.04	775.96	133.62	465.92	236.76	119.29	3,990.88
Technical Assets :																			
Reinsurers' Share of Outstanding Claims	131.51	2.25	32.64	37.35	0.00	0.38	0.00	2.79	0.00	0.00	2.60	0.66	0.00	0.00	0.27	0.00	0.00	0.00	209.86
Deferred Acquisition Cost/CR	18.48	3.58	3.65	15.68	1.29	16.24	1.22	(10.04)	0.00	0.48	0.56	1.92	14.45	17.31	4.51	0.07	2.27	8.59	110.26
TOTAL TECHNICAL ASSETS	149.98	5.83	36.29	53.03	1.29	16.62	1.22	2.75	0.00	0.48	3.16	1.99	14.45	17.31	4.78	0.07	2.27	8.59	320.11
Current Assets :																			
Premiums Receivable	172.81	7.15	141.93	250.82	23.51	9.85	37.65	84.12	315.47	86.11	166.54	7.61	605.62	0.00	1.08	0.56	5.61	563.16	2,479.57
Related party receivable	0.00	0.00	0.00	0.00	0.59	0.00	0.00	0.00	65.71	0.81	0.00	0.00	0.00	0.00	1.92	0.00	0.00	60.87	149.72
Money Market	2.66	0.07	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	37.78	0.00	0.00	0.00	0.00	0.00	0.00	109.16	149.67
Other receivables	19.60	0.30	13.66	10.61	1.08	28.88	1.24	5.01	102.94	0.00	4.69	2.10	85.05	138.37	3.10	0.00	1.20	30.24	448.06
Cash & cash equivalents	226.97	20.45	40.43	121.22	4.01	27.87	20.27	8.99	154.97	13.50	129.56	11.08	131.39	326.36	10.82	18.05	4.93	60.50	1,331.38
TOTAL CURRENT ASSETS	422.04	27.96	196.02	384.84	29.18	66.60	59.15	98.12	639.09	100.42	338.57	20.78	839.69	466.65	15.00	18.61	11.74	823.95	4,568.40
TOTAL ASSETS	678.63	248.61	402.19	569.41	97.17	144.70	188.84	163.35	907.34	249.09	578.59	65.78	1,475.18	1,259.92	153.40	484.60	250.77	951.82	8,869.40

Appendix 1C

Key Performance Indicators (KPIs) for Short-Term Insurers as at 31 December 2020 (Zw\$ million)

	Alliance	Allied	CBZ	Cell	Champion	Clarton	Cresture	ECGC	Econet	Evolution	FBC	Hamilton	Nicoz	Old Mutual	Quality	Safel	Sanctuary	Zimnet	Total/ Aveage
Capital Adequacy																			
Capital Position (\$000)	104.23	213.44	137.58	251.04	59.07	50.90	129.08	68.16	267.67	128.03	216.13	44.85	548.92	813.47	120.48	475.01	218.64	345.34	4,202.14
Capital Maintenance Ratio (CMR)	118.01%	576.86%	371.84%	424.38%	139.64%	70.94%	348.87%	184.21%	1,678.4%	346.02%	551.84%	121.22%	404.38%	410.55%	325.63%	1283.82%	590.92%	552.67%	431.08%
Equity/Total Assets Ratio	15.36%	85.89%	34.21%	44.09%	60.79%	35.18%	68.33%	41.72%	28.40%	51.40%	37.33%	68.18%	38.57%	64.57%	78.54%	98.02%	87.19%	36.28%	47.38%
Solvency Margin	29.50%	1312.40%	100.70%	106.10%	64.02%	17.73%	444.32%	52.92%	42.46%	178.37%	137.96%	137.96%	101.09%	102.64%	357.10%	1197.98%	511.23%	138.17%	107.77%
Asset Quality																			
Total Assets (\$000)	678.63	248.61	402.19	569.41	97.17	144.70	188.94	163.35	907.34	249.09	578.59	65.78	1,475.18	1,259.92	153.40	484.60	250.77	951.82	8,869.40
Interest Generating Assets to Total Assets	34.83%	86.77%	27.71%	40.86%	18.28%	22.02%	14.33%	25.51%	42.15%	63.80%	39.02%	60.30%	50.57%	84.93%	42.67%	33.27%	94.69%	21.88%	47.47%
Non-Interest Generating Assets/Total Assets	65.17%	13.21%	72.29%	59.14%	81.72%	77.98%	85.67%	74.49%	57.85%	36.20%	60.91%	39.70%	49.43%	15.07%	57.31%	66.73%	5.31%	78.12%	52.53%
Fixed Assets/Total Assets	15.71%	86.41%	42.24%	23.10%	68.64%	42.49%	68.03%	38.25%	29.56%	59.40%	40.94%	65.39%	42.10%	61.59%	87.11%	96.14%	94.41%	12.53%	45.00%
Prescribed Assets Ratio	0.57%	0.85%	4.54%	0.99%	0.56%	2.93%	0.59%	4.11%	1.19%	1.22%	0.02%	0.02%	5.57%	12.64%	4.64%	0.07%	0.02%	1.77%	3.69%
Premium Debtors/Gross Premium	18.39%	17.92%	34.58%	23.43%	20.13%	3.41%	37.87%	60.28%	43.64%	80.68%	38.57%	12.12%	41.93%	0.00%	2.56%	1.34%	12.34%	32.04%	27.23%
Premium Debtors/Total Assets	25.46%	2.87%	35.29%	44.05%	24.19%	6.81%	19.94%	51.49%	34.77%	34.57%	28.78%	11.56%	41.05%	0.00%	0.70%	0.12%	2.24%	59.17%	27.96%
Reinsurance																			
R&R Retention Ratio	37.60%	40.78%	33.29%	22.10%	79.00%	99.30%	29.22%	83.94%	92.29%	67.26%	36.28%	99.51%	38.97%	58.89%	80.09%	94.84%	94.07%	14.22%	42.81%
Reinsurance Creditors/Reinsurance Premium	36.91%	14.90%	32.98%	23.44%	38.27%	0.00%	63.47%	58.57%	29.36%	272.80%	70.97%	22.99%	64.90%	15.22%	1.41%	24.47%	124.29%	22.47%	36.29%
Reinsurers Share of O/S Claims to O/S Claims	70.00%	68.28%	87.87%	79.33%	0.00%	11.36%	0.00%	40.30%	0.00%	0.00%	33.83%	3.74%	0.00%	0.00%	24.89%	0.00%	0.00%	0.00%	51.69%
Reinsurers Debtors/Reinsurance Creditors	60.75%	63.92%	36.15%	19.11%	0.00%	0.00%	0.00%	44.33%	0.00%	0.00%	1.33%	92.02%	0.00%	0.00%	228.39%	0.00%	0.00%	0.00%	11.10%
Actual	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
UPR (\$000,000)	92.39	8.65	42.68	54.85	6.46	71.75	4.42	55.70	190.16	18.23	29.97	15.69	70.63	188.21	15.06	7.48	22.70	76.47	921.49
IBNR (\$000,000)	20.34	0.81	13.66	2.96	14.35	2.99	2.96	13.25	10.39	1.24	7.83	1.26	46.09	55.34	1.69	0.70	0.12	11.16	210.34
Net Outstanding Claims	56.36	1.05	4.51	9.73	0.56	2.99	0.61	4.14	0.00	0.91	5.09	1.67	29.29	68.17	0.82	0.88	0.12	9.24	196.12
Liquid Assets/Total Reserves	135.81%	195.28%	66.44%	179.50%	27.81%	31.29%	253.77%	12.31%	77.27%	66.23%	390.13%	59.49%	90.61%	124.70%	61.62%	199.23%	21.48%	175.15%	111.51%
Liquid Assets/Outstanding Claims+IBNR	299.41%	1103.86%	222.48%	955.61%	50.39%	140.76%	568.87%	51.72%	1491.22%	626.53%	1295.24%	378.17%	176.64%	244.25%	432.46%	1144.67%	2035.73%	831.75%	344.19%
Assets/Total Reserves	401.36%	2366.67%	660.93%	843.18%	674.17%	162.42%	2364.34%	223.51%	452.48%	1222.00%	1348.93%	353.35%	1017.28%	481.41%	873.28%	5349.00%	1093.01%	982.58%	667.80%
Earnings																			
Profit After Tax (\$000,000)	29.10	160.28	38.94	193.51	9.34	8.25	9.32	26.09	173.84	55.74	42.87	7.64	530.67	655.42	43.64	12.42	180.27	255.12	2,432.46
Return on Equity	55.84%	150.19%	56.61%	154.15%	31.62%	32.43%	14.45%	76.55%	134.93%	87.07%	39.67%	34.05%	186.53%	161.14%	72.44%	5.23%	164.90%	147.75%	115.77%
Return on Assets	8.58%	128.94%	19.36%	67.97%	19.22%	11.41%	9.87%	31.94%	38.32%	44.75%	14.82%	23.22%	71.95%	104.04%	56.90%	5.12%	143.28%	53.61%	54.85%
Loss Ratio	64.32%	40.56%	42.58%	30.31%	16.16%	12.19%	29.22%	28.85%	19.52%	54.00%	46.46%	11.25%	32.25%	44.52%	17.71%	5.60%	4.53%	27.73%	34.01%
Net Commission Ratio	4.43%	5.74%	6.10%	-28.09%	59.77%	17.88%	59.77%	8.10%	35.55%	13.46%	7.20%	1.23%	3.28%	10.25%	40.17%	37.52%	53.03%	64.67%	8.30%
Net Expense Ratio	44.18%	197.01%	59.71%	53.70%	59.21%	53.70%	72.84%	19.51%	130.65%	30.92%	36.41%	113.01%	87.36%	39.86%	89.10%	22.11%	130.85%	86.32%	48.87%
Combined Ratio	108.93%	231.81%	96.20%	55.92%	82.20%	91.47%	177.74%	96.16%	85.92%	105.97%	166.66%	101.35%	76.52%	94.62%	146.98%	65.12%	188.41%	49.38%	91.18%
Underwriting Margin	-4.10%	-99.86%	7.41%	37.12%	19.04%	1.75%	-73.36%	3.44%	28.43%	-5.79%	-66.66%	2.62%	26.34%	7.75%	-24.34%	34.79%	-79.29%	52.61%	11.89%
Investment Income/Net Premium	8.87%	1019.18%	24.54%	51.59%	-10.72%	0.08%	103.65%	13.85%	39.36%	77.43%	67.41%	0.00%	90.40%	58.48%	140.87%	2.28%	451.58%	69.15%	55.65%
Investment Income/Total Financial Assets	13.25%	76.82%	30.09%	52.48%	-55.69%	0.70%	111.31%	42.81%	62.46%	34.97%	46.69%	0.00%	68.20%	43.32%	72.58%	0.56%	81.33%	82.88%	51.72%
Liquidity	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Working Capital (\$000,000)	18.75	5.61	6.54	119.70	7.70	3.83	3.83	5.67	4.09	17.94	31.25	1.84	95.05	61.43	17.38	9.10	18.12	233.42	453.96
Current ratio	103.39%	119.90%	97.26%	137.62%	79.83%	88.88%	106.77%	105.96%	99.36%	87.10%	91.62%	108.77%	112.52%	114.54%	72.82%	194.88%	43.60%	138.56%	110.26%
Acid Test ratio	41.51%	72.80%	16.93%	38.10%	10.50%	29.77%	35.85%	9.46%	24.09%	11.61%	44.87%	52.91%	17.31%	72.46%	39.85%	188.27%	15.34%	28.32%	33.47%
Market Share of Total Liquid Assets	15.51%	1.39%	2.73%	8.18%	0.27%	1.88%	1.37%	0.61%	10.46%	0.91%	11.30%	0.75%	8.87%	22.04%	0.73%	1.22%	0.33%	11.46%	100.00%
Market Shares	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Market Share Based on GWP	10.32%	0.44%	4.51%	11.75%	1.28%	3.17%	1.07%	1.35%	7.94%	1.17%	4.74%	0.69%	15.86%	14.78%	0.46%	0.46%	0.50%	19.30%	100.00%
Market Share Based on NWP	9.06%	0.42%	3.50%	6.07%	2.37%	7.36%	0.75%	3.30%	15.54%	1.84%	4.02%	1.69%	14.43%	20.33%	0.87%	1.02%	1.10%	6.41%	100.00%
Market Share Based on Total Assets	7.45%	2.80%	4.53%	6.42%	1.10%	1.63%	2.13%	1.84%	10.23%	2.81%	6.52%	0.74%	16.63%	14.21%	1.73%	5.46%	2.83%	10.73%	100.00%

Appendix 2A

Statement of Comprehensive Income for Short-term Reinsurers for the year ended 30 December 2020 (ZWS\$ million)

	Grand	Emeritus	ZB	FBC	First Mutual	Tropical	ZEP RE	Walica	Total
Gross Premium Written	961.07	644.49	869.36	606.25	228.84	780.78	666.93	541.54	5,299.27
Reinsurance	677.23	120.16	139.91	109.93	117.48	336.44	355.36	50.40	1,906.92
Net Premiums Witten	283.84	524.33	729.45	496.32	111.36	444.34	311.57	491.14	3,392.36
Transfer to/from unearned premiums	15.05	150.27	103.12	144.64	8.51	58.17	84.42	236.16	800.33
Earned premiums	268.80	374.06	626.34	351.69	102.85	386.17	227.15	254.98	2,592.03
Net Claims Incurred	85.50	171.99	310.11	203.14	53.20	240.54	190.63	141.36	1,396.45
Unearned premium reserve mvt (DAC)	3.91	(58.99)	0.00	(34.78)	2.90	(9.34)	(21.80)	12.92	(105.17)
Net Commissions Incurred	62.17	151.72	194.54	135.68	20.06	125.19	87.70	104.47	881.54
Technical Result	117.22	109.33	121.69	47.64	26.70	29.78	(29.38)	(3.77)	419.21
Operating Expenses	77.72	96.26	69.43	208.55	111.52	0.00	19.68	41.41	624.57
Underwriting Results	39.50	13.07	52.26	(160.91)	(84.82)	29.78	(49.06)	(45.18)	(205.37)
Investment Income	1.76	14.28	5.88	(0.26)	13.39	0.10	39.15	5.15	79.45
Unrealised Gains/(Losses)	97.37	70.69	405.52	655.43	178.92	257.74	547.32	209.25	2,422.24
Other Income/(Expenses)	0.39	0.00	0.00	5.40	5.79	3.57	0.00	0.01	15.16
Profit/(Loss) Before Tax	139.01	98.04	463.65	499.66	113.29	291.19	537.42	169.23	2,311.49
Taxation	6.64	24.24	35.47	128.66	3.67	0.00	0.00	0.00	198.68
Profit/(Loss) After Tax	132.38	73.80	428.18	371.00	109.61	291.19	537.42	169.23	2,112.81
Dividends	1.12	0.00	2.51	0.00	0.00	0.00	0.00	0.00	3.63
Retained Income	131.25	73.80	425.67	371.00	109.61	291.19	537.42	169.23	2,109.18

Appendix 2B

Statement of Financial Position for Short-term Reinsurers as at 31 December 2020 (ZW\$ million)

EQUITY AND LIABILITIES	Grand	Emeritus	ZB	FBC	First Mutual	Tropical	ZEP RE	Wolca	Total
Shareholders' Equity :									
Share Capital	0.60	0.57	0.01	0.90	0.00	0.00	0.00	0.01	2.08
Share Premium	5.19	32.26	2.50	42.70	72.79	0.41	0.00	6.10	161.95
Revaluation & Other Reserves	5.38	73.94	12.77	30.41	0.00	22.69	0.00	3.85	149.03
Minority Interest	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Certificate of deposit	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Retained Profit	183.22	68.97	509.42	406.29	131.67	291.19	704.40	224.95	2,520.11
Other : (Specify)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.03	0.03
TOTAL SHAREHOLDERS EQUITY	194.39	175.73	524.42	480.30	204.46	314.29	704.40	234.91	2,833.17
Non-current Liabilities :									
Deferred Tax Liabilities	14.15	16.73	26.42	(12.30)	(11.18)	15.28	0.00	3.16	52.24
Long Term loan	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
TOTAL NON-CURRENT LIABILITIES	14.15	16.73	26.42	(12.30)	(11.18)	15.28	0.00	3.16	52.24
Current Liabilities :									
Reinsurance Creditors	249.80	309.72	10.82	196.23	164.19	107.56	0.00	168.53	1,206.85
Related party payables	0.00	15.62	10.40	0.00	9.34	5.93	0.00	0.00	41.30
Current provisions	10.75	0.04	0.00	125.50	13.83	17.52	0.00	0.53	168.17
Finance lease obligations	5.89	0.00	0.00	0.00	0.00	0.00	0.00	0.00	5.89
Bank Overdrafts	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Other payables	19.53	6.88	14.17	0.00	49.98	3.57	135.75	14.38	244.25
TOTAL CURRENT LIABILITIES	285.97	332.27	35.39	321.73	237.34	134.58	135.75	183.43	1,666.46
Technical Liabilities:									
Gross Outstanding Claims	160.91	37.81	28.57	37.69	24.17	11.78	157.21	16.80	474.95
Outstanding claims (IBNR)	22.42	52.43	110.99	68.59	17.55	42.79	80.46	18.99	414.22
Unearned Premiums	89.17	159.69	118.68	163.38	16.85	68.70	102.15	243.69	962.32
TOTAL TECHNICAL LIABILITIES	272.50	249.94	258.23	269.65	58.58	123.26	339.82	279.49	1,851.49
TOTAL EQUITY & LIABILITIES	767.02	774.66	844.73	1,059.38	489.20	587.42	1,179.98	700.98	6,403.36
ASSETS									
Non-Current Assets :									
Investments In Properties and Equipment	10.12	3.79	3.16	36.15	3.58	26.19	28.20	27.91	139.10
Equities	12.23	3.52	89.38	379.36	205.75	0.10	0.00	0.05	690.38
Government Municipal and Bonds	15.58	0.20	41.89	126.77	0.00	0.00	881.13	10.00	1,075.58
Long Term Fixed Deposits	0.00	0.00	0.00	0.00	0.00	4.03	0.00	362.10	366.13
Mortgages and Loans	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Investments in Associated Companies	0.00	98.66	0.00	82.93	0.00	0.00	0.00	0.00	181.59
Investment property	0.00	0.00	206.61	0.00	0.00	126.56	0.00	4.82	338.00
Intangible Assets	5.89	0.00	0.00	0.06	0.00	0.00	0.00	0.00	5.95
TOTAL NON-CURRENT ASSETS	43.82	106.18	341.04	625.27	209.33	156.88	909.34	404.88	2,796.74
Technical Assets :									
Reinsurers' Share of Outstanding Claims	114.32	0.00	0.00	4.71	0.00	13.51	0.00	0.00	132.54
Deferred Acquisition Cost/UICR	26.83	59.88	0.00	39.98	5.40	11.63	26.23	14.12	184.09
TOTAL TECHNICAL ASSETS	141.15	59.88	0.00	44.68	5.40	25.14	26.23	14.12	316.62
Current Assets :									
Premiums Receivable	353.30	289.47	80.00	128.96	52.58	142.01	144.88	205.29	1,396.48
Related party receivable	52.76	132.05	0.00	0.00	0.23	3.97	0.00	36.88	225.88
Money Market	0.00	47.09	0.00	76.44	0.00	3.03	0.00	0.00	126.55
Other receivables	23.68	6.25	1.84	0.00	4.19	3.55	0.00	0.00	39.52
Cash & cash equivalents	152.31	133.74	421.85	184.03	217.48	252.82	99.53	39.81	1,501.56
TOTAL CURRENT ASSETS	582.05	608.60	503.69	389.43	274.47	405.39	244.41	281.98	3,290.00
TOTAL ASSETS	767.02	774.66	844.73	1,059.38	489.20	587.42	1,179.98	700.98	6,403.36

Appendix 2C

Key Performance Indicators for Short term Reinsurers as at 31 December 2020 (ZWS million)

	Grand	Emeritus	ZB	FBG	First Mutual	Tropical	ZEP RE	Walca	Total / Average
Capital Adequacy									
Capital Position (\$000)	194.39	175.73	524.69	480.30	204.46	314.29	704.40	234.91	2,833.17
Capital Maintenance Ratio (CMR)	259.17%	134.06%	287.72%	387.08%	272.62%	282.93%	904.33%	191.32%	334.06%
Equity/Total Assets Ratio	25.34%	22.68%	62.11%	45.34%	41.80%	53.50%	59.70%	33.51%	44.24%
Solvency Margin	68.49%	33.51%	71.93%	96.77%	183.61%	70.73%	226.08%	47.83%	83.52%
Asset Quality									
Total Assets (\$000)	767.02	774.66	844.73	1,059.38	489.20	587.42	1,179.98	700.98	6,403.36
Interest Generating Assets to Total Assets	23.48%	36.56%	89.94%	80.19%	86.51%	65.80%	83.11%	59.46%	66.84%
Non-Interest Generating Assets/Total Assets	76.52%	63.44%	10.06%	19.81%	13.49%	34.20%	16.89%	40.54%	33.16%
Fixed Assets/Total Assets	5.71%	13.71%	40.3%	59.02%	42.79%	26.71%	77.06%	57.76%	43.68%
Prescribed Assets Ratio	2.49%	0.03%	4.96%	12.49%	0.00%	0.00%	76.37%	1.46%	17.67%
Premium Debtors/Gross Premium	36.76%	44.92%	9.20%	21.27%	22.98%	18.19%	21.72%	37.91%	26.35%
Premium Debtors/Total Assets	46.06%	37.37%	9.47%	12.17%	10.75%	24.18%	12.28%	29.29%	21.81%
Reinsurance									
Risk Retention Ratio	29.53%	81.36%	83.91%	81.87%	48.66%	56.91%	46.72%	90.69%	64.02%
Reinsurance Creditors/Reinsurance Premium	36.89%	257.76%	7.73%	178.51%	139.76%	31.97%	0.00%	334.36%	63.29%
Reinsurers' Share of O/S Claims to O/S Claims	71.04%	0.00%	0.00%	12.49%	0.00%	114.71%	0.00%	0.00%	27.91%
Reinsurers Debtors/Reinsurance Creditors	45.76%	0.00%	0.00%	2.40%	0.00%	12.56%	0.00%	0.00%	10.98%
Actuarial									
UPR (\$000,000)	89.17	159.69	118.68	163.38	16.85	68.70	102.15	243.69	962.32
IBNR (\$000,000)	22.42	52.43	110.99	68.59	17.55	42.79	80.46	18.99	414.22
Net Outstanding Claims	46.59	37.81	28.57	32.98	24.17	(1.73)	157.21	16.80	342.41
Liquid Assets/Total Reserves	96.29%	72.35%	163.36%	98.31%	371.23%	233.11%	29.29%	14.24%	94.72%
Liquid Assets/(Outstanding Claims+IBNR)	220.71%	200.37%	302.27%	256.45%	521.17%	623.14%	41.88%	111.21%	215.18%
Assets/Total Reserves	484.89%	309.94%	327.12%	399.84%	835.06%	535.22%	347.23%	250.81%	372.51%
Earnings									
Profit After Tax (\$000,000)	132.38	73.80	428.18	371.00	109.61	291.19	537.42	169.23	2,112.81
Return on Equity	136.19%	84.00%	163.21%	154.49%	107.22%	185.30%	152.59%	144.08%	149.15%
Return on Assets	34.52%	19.05%	101.38%	70.04%	44.81%	99.14%	91.09%	48.28%	65.99%
Loss Ratio	31.81%	45.98%	49.51%	57.76%	51.72%	62.29%	83.92%	55.44%	53.87%
Net Commission Ratio	23.13%	40.56%	31.06%	38.58%	19.50%	32.42%	38.61%	40.97%	34.01%
Net Expense Ratio	28.91%	25.73%	11.08%	59.30%	108.43%	0.00%	8.66%	16.24%	24.10%
Combined Ratio	83.85%	112.28%	91.66%	155.64%	179.65%	94.71%	131.19%	112.65%	111.98%
Underwriting Margin	14.69%	3.49%	8.34%	-45.75%	-82.47%	7.71%	-21.60%	-17.72%	-7.92%
Investment Income/NPW Ratio	34.92%	16.21%	56.40%	132.00%	172.70%	58.03%	188.23%	43.65%	73.74%
Investment Income/Total Financial Assets	55.03%	30.00%	54.15%	77.12%	45.44%	66.70%	59.80%	51.44%	58.45%
Liquidity									
Working Capital (\$000,000)	164.72	86.28	210.06	(157.28)	(16.05)	172.69	(204.93)	(166.82)	88.67
Current ratio	129.49%	114.82%	171.54%	73.41%	94.58%	166.97%	56.91%	63.96%	102.52%
Acid Test ratio	27.27%	31.06%	143.67%	44.04%	73.49%	99.23%	20.93%	8.60%	46.28%
Market Share of Total Liquid Assets	9.36%	11.11%	25.91%	16.00%	13.36%	15.71%	6.11%	2.44%	100.00%
Market Shares									
Market Share Based on GWP	18.14%	12.16%	16.41%	11.44%	4.32%	14.73%	12.59%	10.22%	100.00%
Market Share Based on NWP	8.37%	15.46%	21.50%	14.63%	3.28%	13.10%	9.18%	14.48%	100.00%
Market Share Based on Total Assets	11.98%	12.10%	13.19%	16.54%	7.64%	9.17%	18.43%	10.95%	100.00%

Appendix 3A

Statement of Comprehensive Income for Insurance Brokers for the year ended 31 December 2020 (ZW\$ million)

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Appendix 3B

Statement of Financial Position for Insurance Brokers as at 31 December 2020 (ZW\$ million)

	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Equity	Liabilities	Eq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Appendix 4A

Statement of Comprehensive Income for Reinsurance Brokers for the twelve months ended 31 December 2020 (ZW\$ million)

	Reinsurance Brokers International	Capitol Reinsurance Brokers	Pan African	Marsh Reinsurance Brokers	Afro-Asian Reinsurance Brokers	Minerva Re-Insurance Brokers	Classic Reinsurance Brokers
Gross Premium Receivable	7.95	140.56	27.465	677.54		1,395.66	21.20
Gross Premium Payable	7.67	135.38	264.93	477.02		1,347.51	20.00
Brokerage Commission	0.28	5.18	0.00	200.52	3.55	48.14	1.20
less Commission paid	-	-	-	189.21	-	-	-
Net Brokerage Commission	0.28	5.18	9.72	11.31	3.55	48.14	1.20
Dividend income	-	0.02	-	-	0.00	-	-
Rental income	-	-	-	-	-	-	0.49
Interest	-	-	-	-	-	-	-
Fair value adjustments	-	1.58	-	-	5.54	-	-
Other income	0.23	2.43	2.13	10.39	-	78.54	-
Less Administration expenses	0.27	3.58	8.51	5.94	2.81	38.32	2.22
Profit before Tax	0.24	5.62	3.34	15.77	6.29	88.36	(0.53)
Taxation	0.06	0.43	0.38	1.56	-	-	-
Profit After Tax	0.18	5.19	2.96	14.21	6.29	88.36	(0.53)

Appendix 4B

Statement of Financial Position for Reinsurance Brokers as at 31 December 2020 (Zw\$ million)

	Pain Africa	Reinsurance Brokers International	Capital Reinsurance Brokers	Marsh Reinsurance Brokers	Afro-Asian Reinsurance Brokers	Minerva Re-Insurance Brokers	Classic Reinsurance Brokers
Equity and Liabilities							
Equity							
Issued and Paid Up Capital	0.00	0.00	0.00	0.00	0.01	0.00	8.12
Share Capital	0.00	0.20	0.00	0.00	0.00	0.00	2.00
Share Premium	0.07	0.05	0.12	0.00	0.27	0.00	5.20
Non-Distributable Reserves	0.00	0.00	0.00	0.00	0.05	0.00	2.91
Retained Income	6.91	3.75	5.42	7.81	7.55	109.48	(0.58)
Revaluations	0.00	0.00	0.74	0.00	0.04	0.01	0.00
Owners Equity	6.91	4.10	6.28	7.81	7.91	109.49	9.54
Non-current liabilities: (Specify them)							
Deferred tax	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Bank overdraft	0.00	0.00	0.00	0.00	0.38	0.00	0.00
Shareholder loan	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Longterm loan	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Other non current liability ¹	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Other non current liability ²	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Total Non current liabilities	0.00	0.00	0.05	0.00	0.38	0.00	0.00
Current liabilities							
Payable Premiums	29.55	7.83	29.21	32.88	20.95	835.51	7.38
Brokers commission payable	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Provisions	0.00	0.00	0.12	0.21	0.00	11.63	0.00
Sundry creditors	0.44	0.00	0.00	0.00	0.00	0.00	0.00
Prepayments	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Accrued expenses	0.00	0.00	0.08	0.00	0.18	0.00	0.00
Taxation	0.00	0.00	0.43	1.56	0.00	0.00	0.00
Other	0.00	0.00	1.04	10.74	0.95	0.00	0.00
Other ¹	2.40	0.64	0.00	0.00	0.00	0.00	0.00
Other ²	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Other ³	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Total Current Liabilities	33.03	8.47	30.45	43.83	22.18	847.14	7.38
Total Equity and liabilities	40.02	12.58	36.78	51.64	30.46	956.63	16.92
Assets							
Non - Current Assets							
Property and Equipment	-	-	0.00	0.00	0.00	0.00	0.00
Land & Buildings	0.57	0.00	0.00	0.00	0.00	0.00	8.34
Furniture and Fittings	0.00	0.00	0.11	0.00	0.04	0.01	0.41
Motor Vehicles	0.37	0.00	0.62	0.00	0.00	0.09	0.00
Computer Equipment	3.18	0.00	0.12	0.00	0.05	0.26	0.26
Computer Software	0.34	0.00	0.00	0.00	0.10	0.00	0.00
Investments	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Investments Quoted Equities	0.00	1.21	2.36	0.00	0.61	0.00	0.00
Investments Unquoted Equities	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Total Non- Current Assets	4.47	1.21	3.22	0.00	7.79	0.13	9.01
Current Assets							
Commission Receivable							
Premium Receivable	-	-	-	7.79	-	-	0.41
Accrued Investment Income	2.02	0.00	29.42	0.00	21.59	799.98	7.22
Other Debtors & Inventory	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Cash & Cash Equivalents	0.18	10.14	0.00	0.00	0.05	34.91	0.00
Total Current Assets	33.35	1.23	3.68	43.85	1.03	121.62	0.29
Total Assets	35.55	11.37	33.56	51.64	22.67	956.51	7.91
	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Total Assets	40.02	12.58	36.78	51.64	30.46	956.63	16.92

List of registered short term insurance players as at 31 December 2020

[illegible]